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MARKETS OVERVIEW

7

Bond Markets

	In %	In bps			
	12/06/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.62	-0.5	-1.6	+53.4	+81.0
Bund 5Y	2.72	-0.3	-6.6	+25.5	+67.7
Bund 10Y	3.00	-1.3	-6.9	+13.8	+52.1
OAT 10Y	3.65	-0.3	-2.9	+14.9	+45.4
BTP 10Y	3.73	-1.2	-12.6	+23.3	+30.8
BONO 10Y	3.42	-0.1	-10.4	+17.9	+34.3
Treasuries 2Y	4.08	+4.9	+10.7	+60.2	+15.2
Treasuries 5Y	4.21	+4.6	+9.1	+48.5	+25.3
Treasuries 10Y	4.48	-1.2	+1.7	+31.4	+3.2
Gilt 2Y	4.24	-8.8	-29.7	+48.9	+37.0
Treasuries 5Y	4.38	-7.5	-26.8	+53.3	+38.8
Gilt 10Y	4.85	-3.9	-25.7	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	12/06/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.16	-0.4	-1.4	-1.4	-0.1
GBP/USD	1.34	-0.2	-0.8	-0.3	-1.3
USD/JPY	160.22	+0.3	+1.6	+2.2	+11.5
DXY	99.75	+0.6	+1.5	+1.4	-0.5
EUR/GBP	0.86	-0.2	-0.6	-1.2	+1.3
EUR/CHF	0.92	+0.8	+0.5	-1.0	-2.1
EUR/JPY	185.45	-0.1	+0.2	+0.7	+11.4
Oil, Brent (\$/bbl)	87.36	-8.1	-19.1	+43.6	+25.9
Gold (\$/ounce)	4214	-5.6	-9.7	-2.6	+24.7

Equity Indices

	Level	Change, %			
	12/06/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4788	-1.5	+0.8	+8.1	+21.4
North America					
S&P500	7431	-2.2	+0.4	+8.6	+22.9
Dow Jones	51202	+0.2	+2.9	+6.5	+19.2
Nasdaq composite	25889	-4.4	-0.8	+11.4	+31.7
Europe					
CAC 40	8351	+2.5	+4.6	+2.5	+7.5
DAX 30	24635	-1.5	+2.8	+0.6	+3.6
EuroStoxx50	6188	+2.5	+6.5	+6.8	+15.4
FTSE100	10472	+1.3	+2.0	+5.4	+17.9
Asia					
MSCI, loc.	1879	-1.0	+0.5	+11.2	+29.1
Nikkei 225	66020	-1.4	+5.2	+31.1	+72.9
Emerging					
MSCI Emerging (\$)	1716	-3.2	+1.0	+22.1	+42.7
China	75	-1.5	-6.5	-9.7	-0.4
India	928	+0.3	+1.4	-12.3	-12.4
Brazil	1794	-2.0	-8.5	+9.0	+26.2

Performance by sector

Eurostoxx600

Year 2026 to 12-6, €

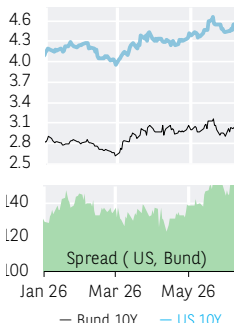
+28.9%	Oil & Gas
+27.4%	Commodities
+25.6%	Technology
+24.6%	Telecoms
+12.6%	Utilities
+10.9%	Chemical
+7.0%	Banks
+6.9%	Eurostoxx600
+5.9%	Industry
+3.2%	Food industry
+2.0%	Financial services
+0.6%	Retail
+0.6%	Travel & Leisure
+0.4%	Construction
-1.6%	Real Estate
-1.9%	Health
-2.5%	Insurance
-6.1%	Consumption Goods
-8.6%	Media

S&P500

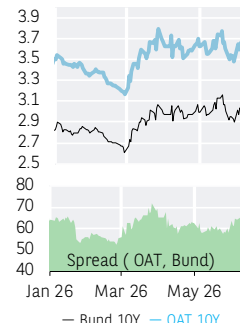
Year 2026 to 12-6, \$

+40.3%	Semiconductors
+27.0%	Energy
+25.4%	Tech. Hardware & Equip.
+17.3%	Capital Goods
+13.2%	Materials
+12.2%	Food, Beverage & Tobacco
+11.2%	Retail
+8.6%	S&P500
+3.7%	Utilities
+3.0%	Media
+2.6%	Bank
+2.6%	Pharmaceuticals
+1.9%	Consumer Discretionary
+0.3%	Telecoms
-3.0%	Insurance
-3.9%	Consumer Services
-6.5%	Healthcare
-8.1%	Automobiles
-12.5%	Commercial & Pro. Services
-29.9%	Real Estate

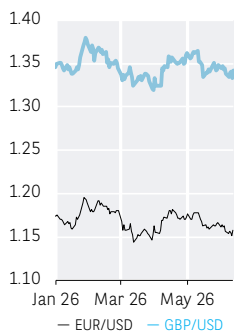
Bund 10Y & US Treas. 10Y



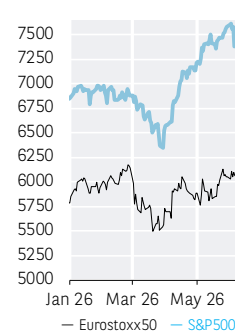
Bund 10Y & OAT 10Y



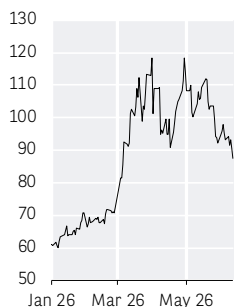
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent (\$/bbl)



Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



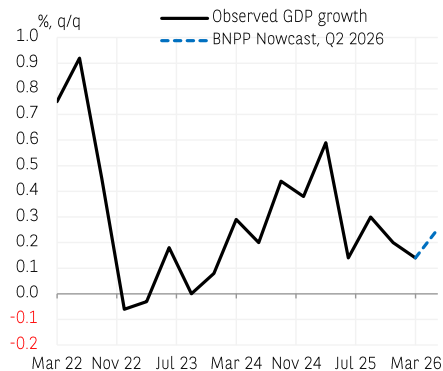
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The scenario, forecasts and nowcasts of the Economic Research – 15 June 2026

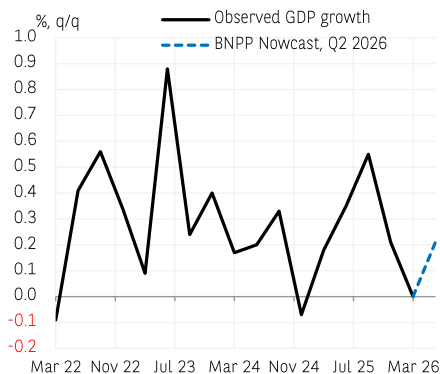
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



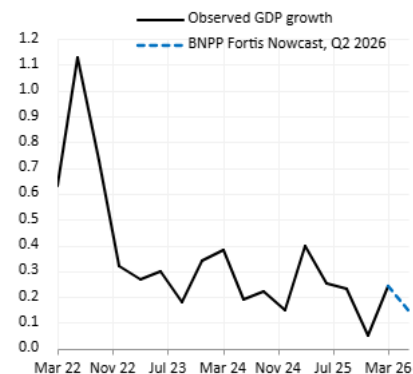
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth has been revised downward due to the deterioration in confidence surveys (PMI, consumer confidence). It still points to a 0.2% q/q increase in activity in Q2, against a forecast of 0.3% q/q.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a slight deterioration (0.15% q/q) from Q1. The momentum in the manufacturing sector is proving more resilient than first feared. Costs are rising faster than previously expected, especially in the service sector.

Read the [Nowcast methodology](#)
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth					Inflation			
	2024	2025	2026 e	2027 e		2024	2025	2026 e	2027 e
United States	2.8	2.1	2.3	2.4		2.9	2.7	3.7	2.8
Japan	-0.2	1.1	0.5	0.7		2.7	3.1	2.3	3.1
United Kingdom	1.0	1.4	1.0	1.2		2.5	3.4	3.4	3.3
Euro Area	0.9	1.5	0.6	1.6		2.4	2.1	3.0	3.3
Germany	-0.5	0.3	0.8	1.1		2.5	2.2	3.2	3.5
France	1.1	0.9	0.8	1.1		2.3	1.0	2.2	1.6
Italy	0.6	0.7	0.8	0.8		1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2		2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5		0.2	0.0	1.3	1.4
India*	7.1	7.7	6.6	6.8		4.6	2.1	5.1	4.2
Brazil	3.4	2.3	2.3	1.4		4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 15/06/2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
		Spot 12/06	Q2	Q3	Q4	Q4
End of period	US					
	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
Eurozone	T-Note 10y	4.48	4.55	4.65	4.75	4.85
	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	3.00	3.15	3.20	3.35	3.10
	OAT 10y	3.65	3.77	4.00	4.17	3.60
	BTP 10y	3.73	3.85	3.95	4.10	3.60
UK	BONO 10y	3.42	3.57	3.64	3.79	3.42
	Base rate	3.75	3.75	4.25	4.25	3.50
Japan	Gilts 10y	4.85	4.70	4.60	4.50	4.30
	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.62	2.70	2.85	2.85	3.10
Exchange Rates		2026				2027
		Spot 12/06	Q2	Q3	Q4	Q4
End of period	USD					
	EUR / USD	1.16	-	1.15	1.16	1.20
	USD / JPY	160	-	163	165	165
	GBP / USD	1.34	-	1.32	1.32	1.36
EUR	EUR / GBP	0.86	-	0.87	0.88	0.88
	EUR / JPY	185	-	187	191	198
Brent		2026				2027
		Spot 12/06	Q2	Q3	Q4	Q4
End of period	Quarter Average					
	Brent	87	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy). Last update: 15/06/2026


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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.3%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.7% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to implement one rate hike (+25pb) and bring the Fed Funds target range at 3.75% - 4.0% by year-end.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP growth contracted 0.2% q/q mainly due to the volatility of Ireland's GDP data, but growth in the rest of the Eurozone remained resilient (+0.2% q/q). In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.6% in 2026, before rebounding at 1.6% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%. As inflation rebounds, another 25-basis-point hikes in the ECB's policy rate – following June's increase – would take place in Q3 2026 pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth decelerating to 1% from 1.4% in 2025; following +0.4% q/q in Q1, growth dipped to -0.1% m/m in April, bringing the average quarterly pace for the remainder of the year down to approximately +0.1%. This slowdown is set against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation is projected to reach 3.4% y/y, and to remain sticky and well above BoE's target at +3.3% in 2027. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in H2 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.1% in 2025. Higher inflation and production costs are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshoot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.



EcoFlash

ECB: An adjustment, but not necessarily the start of a tightening cycle

As expected, the European Central Bank raised its key interest rates by 25 basis points, bringing the deposit facility rate to 2.25%. This decision, taken unanimously, reflects the Governing Council's conviction that the persistence of the energy shock warrants a monetary policy response. The ECB revised its inflation outlook upward more significantly than its growth forecasts downward. It also updated its alternative scenarios relative to the central scenario (one more favorable, two adverse). Christine Lagarde emphasized that today's decision was "robust" across all scenarios.

The persistence of inflation at the heart of the ECB's concerns. During the Q&A session, Christine Lagarde confirmed that the decision to raise rates was unanimous, unconditional, and that no alternative proposal was discussed during the meeting. The ECB President reiterated that future decisions will be made "meeting by meeting," based on available data and without a pre-set rate path. A new favorable scenario ("mild"), deemed unlikely, was added alongside the existing three scenarios (central, adverse, and severe). The severe scenario, in which inflation would deviate significantly and durably from the target, would call for an "appropriate and decisive" response. The communication framework has clearly evolved since the April meeting, with a stronger focus on the persistence of the inflationary shock rather than solely on the levels reached. Nevertheless, as Lagarde noted, long-term inflation expectations remain broadly well anchored around the 2% target – a reassuring signal for the ECB.

Upward revisions to inflation projections, with more persistent pressures. The ECB's new inflation projections for 2026 now sit midway between the central and adverse scenarios outlined in March. They reflect a combination of durably higher energy prices and more pronounced second-round effects, largely confined to food and industrial goods (excluding energy). The headline HICP inflation forecast has been raised to 3.0% (from 2.6%) for 2026 and to 2.3% (from 2.0%) for 2027. Core inflation is expected at 2.5% for both 2026 and 2027 (compared to 2.3% and 2.2% respectively). While our own forecasts for 2026–2027 incorporate a rise in core inflation in line with the ECB's projections, we anticipate more persistent pressures on agricultural and energy prices in 2027 (particularly gas/TTF prices). These translate into a higher total inflation forecast of 3.3% for 2027.

More limited growth revisions against a backdrop of resilience. The ECB's downward revisions to GDP growth are modest (-0.1 pp for both 2026 and 2027, to 0.8% and 1.2% respectively). The ECB expects some resilience in growth, supported notably by investment efforts in infrastructure, digital, and defence – the same pillars underpinning our recovery profile for activity in 2027 (1.6%).

Another rate hike expected, likely in September. At this stage, forward-looking price indicators (European Commission surveys and PMIs) confirm a gradual transmission of the energy shock to other sectors. However, the transmission remains less significant than what was observed in 2022 and still only marginally affects finished goods. The emergence of a price-wage spiral appears, for now, unlikely, as wage pressures should remain contained in 2026. The ECB anticipates a slowdown in compensation per employee growth to 3.2% in 2026, followed by stabilization at that level in 2027–2028, consistent with the 2% inflation target. In this context, we maintain our scenario of one additional 25 bp rate hike, most likely in September, followed by a plateau in 2027.

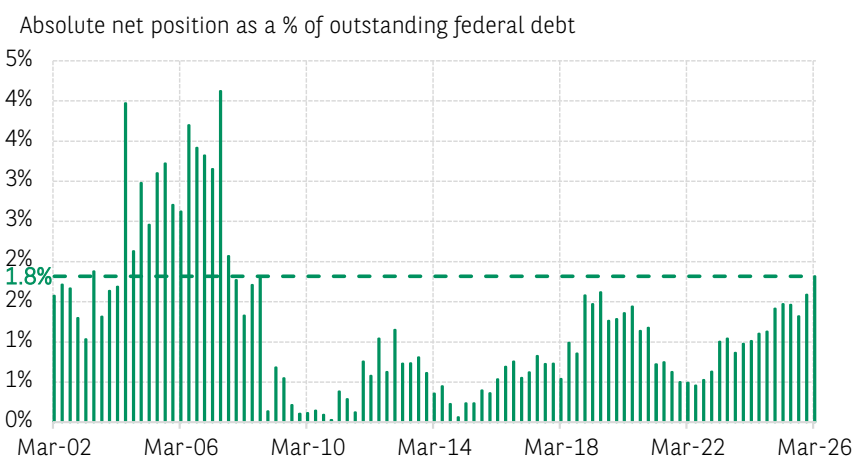
Article completed on June 11, 2026

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THE US REGULATORY EASING OFFERS LIMITED SUPPORT TO THE TREASURIES MARKET

Céline Choulet

Primary dealers' Treasury inventories reach their highest level since 2008



SOURCE: FEDERAL RESERVE BANK OF NEW YORK, BNP PARIBAS

A relaxation in regulations that supports Treasury market intermediation

Last year, the need to recalibrate the enhanced supplementary leverage ratio (eSLR) imposed on global systemically important banks (G-SIBs) rose to the top of American regulators' agenda¹. The leverage constraint was on the verge of becoming more binding than risk-weighted capital requirements. It risked preventing – or even discouraging – major banks from fulfilling their role as intermediaries in the Treasury market, an undesirable situation in normal times and even more so during periods of stress. Under the new formula in effect², the eSLR requirements for the eight US G-SIBs now range from 3.5% to 4.25% as of 1st January³, compared to the previous uniform 5% requirement⁴.

As regulators had hoped, this easing has improved intermediation conditions in the Treasury market. Amid heightened uncertainty driven by the Iran conflict, it has enabled major banks to absorb some of the Treasuries without buyers. This is evidenced by higher net positions among primary dealers – most of which are G-SIB subsidiaries – which reached 1.8% of outstanding federal debt in March and April, the highest level since the 2008 financial crisis. In conjunction with the Federal Reserve's Reserve Management Purchases and the Treasury's buyback programmes, the easing of leverage requirements has helped to preserve liquidity in the Treasury market and contributed to lower interest rates in the repurchase agreement markets.

However the capacity to absorb federal debt is still limited

Conversely, the eSLR easing has not triggered the expected surge in demand for these securities. While G-SIBs' trading portfolios – hosting securities held by their broker-dealer subsidiaries – have expanded, their Treasury investment portfolios (held-to-maturity or available-for-sale) have remained virtually unchanged. Multiple constraints have thwarted the Secretary of the Treasury's hoped-for surge in demand, including the eSLR requirement itself. It is still binding, or near-binding, for major G-SIB depository subsidiaries. Yet, G-SIBs' Treasury investment portfolios are predominantly booked on the balance sheets of these subsidiaries. The proposed reform of G-SIB capital surcharges (still under consideration) may further support Treasury market liquidity, but it will not fully alleviate balance sheet constraints⁵.

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1 A leverage ratio is a non-risk-weighted capital requirement designed to ensure that a bank's size – regardless of its risk profile – does not exceed a certain multiple of its capital. See Bensaidani, A. and Choulet, C. (2025), *The US Treasuries Market, An Idol with Feet of Clay – Oiling the Wheels*, Ecolnsight, BNP Paribas.

2 The new eSLR requirement has been aligned with the Basel recommendation, set at 3% plus a buffer equal to 50% of the G-SIB surcharge calculated under the Financial Stability Board's method.

3 The effective date of the new eSLR rule was set for 1st April 2026, but banks were permitted to adopt it early as of 1st January 2026.

4 The buffer for their depository institution subsidiaries is capped at 1%, so their eSLR requirement cannot exceed 4% (down from the previous 6% requirement).

5 See Choulet C. (2026), *A drop of oil in the Treasuries market's gears*, forthcoming in Ecolnsight.

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EDITORIAL

3

EUROPE'S QUIET METAMORPHOSIS, POWERED BY FIVE UNDERAPPRECIATED BOOSTERS

Out of the spotlight, Europe is quietly preparing to emerge from its post-pandemic underwater years like a nymph turns into a stunning dragonfly. The turmoil of the last year and a half has brought about “Europe’s moment” in more ways than is being recognized. Europe isn’t just emerging as the alternative safe haven of choice. It can count on five powerful boosters: rebounding industrial strength, established services dominance, tech acceleration, a governance sea-change, and favorable geopolitical winds.

Over the past year, it has become impossible to ignore that the world is in the midst of a profound, multidimensional rewiring. Much of what we took for granted for decades about geopolitics, technology, economic policies, and the very fabric of globalization (trade and capital flows) is being upended¹. And the epicenter of this whirlwind is none other than the architect and implicit leader of the previously prevailing global economic order: the United States of America.

All this turmoil has already made Europe look more attractive, as a haven of stability. Last week, the ECB’s annual report on The International Role of the Euro revealed that the euro is catching up as the world’s safe asset of choice. On multiple occasions, during recent episodes of market turmoil, the euro behaved more like a safe asset than the US dollar. In a world where stable inflation, responsible fiscal policy, predictable and stable structural policies, and level playing field can no longer be taken for granted, Europe stands out. Financial markets have noticed: the so-called convenience yield² on German bunds rose threefold from 30 bps to 90 over 2023-25. To the extent that all other bonds (sovereign and private) in euros are priced off German bunds, this benefits the entire Eurozone economy.

Europe can also count on five lesser-known boosters to surprise on the upside.

1. REPORTS OF THE DEATH OF EUROPEAN INDUSTRY ARE GREATLY EXAGGERATED

After growing at a faster clip than the United States for most of the last ten years, the EU’s industry was dealt a severe blow by the energy shock of 2022, which hit it twice as hard as the US (in terms of energy expenditure relative to GDP). Industrial production fell by 6% from peak to trough—but it has been bouncing back since early 2025 above its pre-Covid level. Europe remains a net exporter of industrial goods, albeit it now has a deficit with China. Even against China, Europe retains competitive advantages in aerospace, pharmaceuticals, and a range of cutting-edge industrial equipment—most notably advanced semiconductor manufacturing and its supply chain including optics³. And while energy-intensive industries continue to struggle, EU industry is gradually shifting toward dynamic sectors.

Moreover, sectors such as defense, infrastructure (for clean energy, artificial intelligence, and single market connectivity), as well as sovereignty are also benefiting from strong tailwinds from public spending programmes due to span over the medium term, as well as a more pro-growth agenda of reforms at the EU level (see point 4 below).

2. EUROPE IS A SERVICES EXPORT SUPERPOWER

Europe’s industrial legacy obscures a crucial fact: the European Union is a services export giant. In 2025, EU services exports reached USD 1.8 trillion, making Europe the world’s largest exporter, far ahead of the United States by roughly 70%.

This sector generates a USD173.5 billion surplus—the largest in the world. And contrary to cliché, this is not mainly a tourism story. Tourism, at 13% of total services exports, does not even rank among the top three categories. Europe’s strength lies above all in business services, telecoms and IT, and transport—precisely the kinds of activities that signal depth, scale, and competitiveness in a modern economy.

3. EUROPE IS NOT A TECH DWARF. IT IS A FAST-MOVING CATCH-UP STORY

Europe is often portrayed as lagging the US and China in tech, but the reality is more nuanced. The continent hosts many world-class firms, even if its share of the market capitalisation of the top 1,000 global tech companies remains well below its weight in global GDP and its start-ups are still too few and too small.

What matters, though, is the direction of travel—and Europe is improving fast. Over the past decade, the tech sector has expanded from 4% to 15% of GDP. Since early 2020, it has been the leading source of job creation, with high tech alone accounting for 23% of new jobs, or 1.6 million positions.⁴

The financing picture tells the same story. Venture capital investment in European start-ups nearly quadrupled between 2015 and 2025 and now exceeds China’s. In green tech and quantum technologies, European start-ups are even raising more capital than their US counterparts. France is also emerging as a major hub in AI and cloud computing, with USD 110 bn committed in the past week to new data centers.

Talent flows are shifting too. As of last year, more tech talent is now moving from the United States to Europe than the other way around.

Europe has some catch up to do, but it now has the momentum to do it.

4. EUROPE IS FINALLY TREATING STRATEGIC AUTONOMY AND GROWTH AS URGENT POLICY PRIORITIES

The succession of unimaginable shocks that occurred since last Spring has done what Mario Draghi and his celebrated September 2024 report could not: it has jolted Europe out of complacency and refocused policymakers’ minds on key must-haves—notably strategic autonomy and, in order to afford it, growth—while de-prioritizing the nice-to-haves.

1 See our editorial: [IMF Spring Meetings: Coming to terms with multiple regime changes with Realism, Resilience and Rewiring](#), 20 April 2026.

2 This reflects the premium financial markets are prepared to pay for the convenience of holding a safe and liquid asset. It reduces the issuer’s borrowing costs compared to what macroeconomic fundamentals would suggest.

3 See our editorial: [Up against China’s industrial surge, Europe has strengths but is seeking a strategy](#), 18 May 2026.

4 See also [Job creation in the technology sector is a driver of the Eurozone’s labour market](#), BNP Paribas chart of the week, 19 November 2025.



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The new tech sovereignty package, unveiled last week, is a good example. It strikes a clever balance between preserving the benefits of openness and incumbent know-how while building domestic alternatives and helping them scale more quickly, including with public money and contracts. A month earlier came the Industrial Accelerator Act —“Made with Europe”—signaling the same shift in tone away from the dogma of previous decades that shunned state support and restrictions to open trade.

This follows a broader outbreak of pragmatism over the past year: delays to regulations on ESG, artificial intelligence, and bank capital rules, a consultation by the European Commission on banking competitiveness, a review of the ultra-restrictive merger guidelines, and a new “one Europe, one market” playbook with ambitious deadlines. Competitiveness is no longer secondary; it is becoming a central policy objective.

Even more encouragingly, member states have rediscovered the virtues of what Mario Draghi, in his recent *Karlspreis* acceptance speech, called “pragmatic federalism”: allowing a subset of willing member states to move ahead while others join later instead of blocking progress. The much-delayed capital markets union may be the next beneficiary, with the six largest member states recently backing centralised market supervision. Europe is not moving fast, smoothly or uniformly—but it is moving.

5. THE WINDS OF GEOPOLITICS ARE TURNING MUCH MORE FAVORABLE, AT LAST

The final booster is geopolitical. After years of being buffeted by adverse external forces, Europe may at last be entering a more favourable environment. Following its recent change of leadership, Hungary is no longer the blocking factor it was in recent years. The war in Ukraine appears closer to an armistice than at any point since its full-scale invasion by Russia. Ten years after the Brexit referendum, political sentiment in the United Kingdom has shifted markedly, with a majority now seeing the decision to leave the EU as a mistake. And the two leading contenders to replace the current prime minister are openly in favour of rejoining the EU.

At the same time, Europe is building and extending its economic and political relationships. Within the European Political Community, it is deepening ties with neighbours and Canada while cultivating newer partnerships, including with the Gulf. The inaugural Europe Gulf Forum in Athens last month was one illustration, and Gulf sovereign wealth funds directed 28% of their investments toward Europe in the first nine months of 2025, the highest share in at least five years.

The trade agreements concluded with Mercosur, India and Australia earlier this year reinforce the point. They are not just economic arrangements; they are signals of political intent. These shifts suggest that Europe is no longer merely adjusting to a harsher world. It is showing agency and taking steps to benefit from the new map being drawn rather than being reduced to the proverbial grass on which the elephants—the US and China—fight.

NONE OF THIS MEANS EUROPE'S PROBLEMS HAVE VANISHED

Growth remains too weak, fragmentation too real, and policy execution too slow for triumphalism. But the broader picture has changed more than many admit. The continent is entering this new era with more industrial resilience than assumed, genuine services firepower, more technological momentum than credited, and a policy and geopolitical backdrop that is becoming less of a handicap and more of an asset. Europe's moment may not arrive with a bang. But it has already begun.

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INTERNATIONAL

Global trade: New US Tariffs on the way. USTR has proposed new tariffs of 10% and 12.5% against all 60 countries investigated upon concluding a series of investigations under section 301 of the 1974 Trade Act, relating to forced labour. The EU would be subject to the 10% rate on grounds of failing to protect adequately against the use of forced labour (NB: USTR finds that Bangladesh and Pakistan do it better than Japan, Norway, or Switzerland and hence get the lower tariff). Existing exemptions would apply. It is likely though not certain that these tariffs would only come in if bilateral trade agreements became impaired. The proposal is now subject to a consultation period running up to 6 July. The results of another consultation under section 301 for excess capacities should be out soon.

ADVANCED ECONOMIES

UNITED STATES

United States. Blowout jobs report puts Fed hike back on the table. Nonfarm payrolls surged at 172,000 in May — roughly double the consensus forecast — and the prior two months were revised up by a combined 93,000. This brings 2026 YTD payroll growth to 569k vs. 116k for 2025 as a whole. The unemployment rate held steady at 4.3%. Gains were concentrated in leisure & hospitality, local government, and healthcare. The strong jobs print drove bonds to selloff, with markets now fully pricing in a 25bp Fed rate hike by year-end, with c. 60% odds of the move coming as early as October (we have changed our call from pause to expecting a hike in December). This, in turn, led to a 0.7% jump in the USD and a sharp fall in tech stocks. Earlier in the week, the ISM May activity gauge also surprised on the upside with the manufacturing ISM rising to 54.0 (+1.3pp), the highest since May 2022. However, the upbeat reading is at odds with qualitative responses that reveal strong concerns about prices, supply and uncertainty. The Services ISM also rose (54.5, +0.9pp).

EUROPEAN UNION

Flexibility and tech sovereignty. The European Commission (EC) is showing welcome **flexibility on two fronts: (i) Fiscal rules:** countries may deploy up to 0.3% of GDP annually (capped at 0.6% over 2025–2028) to support households/firms coping with energy price spikes— but only for fossil fuel phase-out measures, not subsidies for gas/petroleum. Member states could also use EU cohesion funds to offset energy cost pressures; and **(ii) Capital requirements for investment banking activities**, with time-limited amendments that will neutralize the capital impact of the new FRTB rules for three years from 1st January 2027 and thereby keep a level-playing field with the US, UK and other jurisdictions. The EC also published an ambitious package of measures to bolster the EU's digital autonomy through a (US-style) combination of public funding, procurement, and regulatory incentives: **(i) The CHIPS Act 2.0**, aims to reduce overreliance on external suppliers for critical semiconductor technology by strengthening research, innovation, and skills development across the semiconductor ecosystem. It aims to stimulate demand and industrial uptake; increasing the use of procurement to boost demand, notably for European-based startups & scaleups and their technologies; Designating Strategic projects to unlock EU funding and co-invest with Member States and industry in projects of strategic importance and added value for the EU; **(ii) The Cloud and AI Development Act (CADA)** aims to make it easier and faster to deploy sustainable cloud and data centre infrastructure, and ensure that Europe accelerates the rollout of cloud and AI for critical sectors,

aiming for at least tripling the EU's data centre capacity within the next 5–7 year; and **(iii) A Strategic Roadmap for Digitalisation and Artificial Intelligence in Energy**, to make sure energy production and usage are consistent with the growing needs of the tech sector.

EUROZONE

Inflation accelerates, activity remains resilient. Inflation in May accelerated to 3.2%, with core (2.5%) and services (3.5%, +0.5pp vs. April) exceeding expectations. April producer Prices recorded their biggest increase since March 2023: +4.9% y/y after +2.0% in March. May PMIs showed input prices rising at the fastest pace since May 2022, while output prices saw their inflation rate rebound to a 3.5 year high. More encouragingly, household medium-term inflation expectations stabilized in April. Meanwhile, Eurostat revised Q1 2026 GDP to -0.2% QoQ (from an initial +0.1%), but this was driven an unprecedented downward restatement of Irish GDP, which collapsed 12.1% (vs. the initial -2% estimate) due to multinational distortions. Excluding Ireland, Eurozone GDP growth grew at around +0.2% q/q. Comfortingly, all final May PMIs were revised up from the flash estimates: composite (48.5) – down for a 2nd month, hitting the lowest since Nov. 2024, driven by services (47.7), while manufacturing continues to expand (51.6). The unemployment rate was stable at 6.3% in April— broadly unchanged across most countries. Retail sales grew by +1.0% y/y in April (vs. +2.1% in March), its lowest since July 2024.

France. Activity improving, public deficit growing. Manufacturing production grew in April at a post-Covid high pace, driven mainly by aeronautics (+0.4% m/m +2.5% y/y). Goods exports increased by 10% y/y in April (+5% y/y) mainly driven by aeronautics, electronic and electrical equipment, pharmaceuticals, and defence. Exports to EU destinations increased the most: +12% y/y in April, esp. Germany (+15% y/y in April). Car passenger sales were dynamic as well +3.5% y/y in May, with strong EV momentum (29% vs. 27% in Q1 and 20% in 2025). Housing starts are on the rise: +39% y/y in April (YtD +37% y/y). Building permits decreased in April (-17% y/y) but still increased YtD (+12% y/y). Final May PMIs, while confirming the deterioration across all sectors seen in the flash estimates, were revised up slightly. “Choose France” 2026 led to record investment pledges: EUR 93 bn, mainly in data centres, across 71 projects, expected to create 15600 jobs. Less positively, the state budget deficit was EUR 69.9 bn in Jan-Apr 26 (vs. 69.3 in Jan-Apr 25). It should continue to deteriorate in the months ahead. This is mostly driven by higher spending on debt service and defence, and to a lesser extent by lower gasoline consumption reducing tax revenues.

Germany. Sluggish. The final composite PMI was revised slightly higher to 48.8 in May. Manufacturing remained in expansion for a 4th consecutive month at 50.1, but new orders dropped for the 1st time in 2026. Input costs surged to their highest level since June 2022 and selling prices remained elevated but stabilized (producers cautious due to weak demand). Services fell to 48.1 but new orders shrank less than in April, and firms are slightly more optimistic, while inflationary pressures remained high but stable. Retail sales fell by 0.3% y/y in April (after -0.2% in March) the worst print since August 2025. Key driver: fuel purchases at gas stations. Factory orders remained robust in April (+1.5% y/y, +6.4% 6m/6m), despite a monthly dip (-3.8%). Growth is driven by aerospace and computer/electronics/optical sectors. The report on the usage of the SVIK (infrastructure) Fund in 2025 revealed that it added 0.5pp to GDP growth — without it, the economy would have stagnated for another year. It left €13.3bn underutilized (vs. budget) in 2025. Spending is set to accelerate in 2026 thanks to regulatory simplification measures.



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Italy: Activity expanding at steady pace. Composite PMI at 50.4, almost unchanged from the previous month (-0.1 pt). Manufacturing is expanding at a faster pace (highest since April 2022), compensating for the contraction in services. Input price inflation reached its highest level in more than three years. Retail sales increased 1.6% y/y in April, unchanged m/m.

Spain. Activity rebound. The May composite PMI rose to 50.2 (up from 48.7 in April). Manufacturing is still in expansion but losing momentum. The Services PMI rose to 50.1 in May, moving back into expansion after a sharp contraction to 47.9 in April. Input-cost pressure rose at the fastest pace in four years.

JAPAN

Imminent rate hike, weak consumption. BoJ governor Ueda gave the clearest signal yet that he thinks conditions require a rate hike at the June 15-16 BOJ meeting. He warned that "substantial rate hikes" could be warranted later if the central bank delays action. Despite a 4-month streak of real wage growth (+1.9% y/y in April) after 12 months of contraction in 2025, real household spending contracted in April for a 5th straight month albeit at a lower pace (-0.5% y/y, up 1.4pp. USD/JPY has remained above 160 despite record FX intervention in May.

UNITED KINGDOM

Weak construction, even higher price expectations. Construction activity shrank at its fastest pace since 2020 in May, with the PMI falling to 38.2. Firms surveyed by the BOE expect their own-price growth to increase by 4.0% over the next year (+0.2 pp m/m).

EMERGING ECONOMIES

PMIs: Gulf improving, Europe steady, LatAm mixed. Non-oil activity rebounded in the GCC, with KSA and UAE in expansion. In Central Europe, PMIs were little changed. In Latam, Brazil saw a sharp deterioration while Mexico and Colombia improved.

ASIA

China: Industrial subsidies champion. According to the OECD, China stands out as the economy that provides the most industrial subsidies to its firms: between 2005 and 2024, they received, on average, 3 to 8 times more government support than firms in OECD countries (as a % of annual firm revenue), in the form of direct subsidies, tax concessions, and loans at below-market rates.

India: Growth beat, efforts to stem rupee depreciation. Real GDP growth for FY2025/2026 (ended in March 2026) reached 7.7% (vs. 7.1% in FY2024/2025), above expectations. The RBI revised its growth projection to 6.6% (from 6.9%) for the current fiscal year. After the rupee fell to a record low (having depreciated by 4.7% vs. USD since the onset of the Iran war), the central bank adopted several measures to support the currency and increase foreign portfolio investment: it kept its policy rate stable at 5.25%; expanded foreign access to Indian government bonds via a broader Fully Accessible Route (FAR) especially for long-dated issues; introduced a temporary facility (through Sep 2026) under which authorised dealer banks will receive support to bear the full hedging cost for raising fresh FCNR(B) deposits with maturities of three to five year; and relaxed regulatory barriers to make Indian debt markets more attractive to capital inflows.

Indonesia: Rupiah depreciation accelerates. Despite the rise in policy rates by 50bp two weeks ago, the rupiah's depreciation accentuated further. The stock market has lost more than 35% since the start of the year.

EMERGING EUROPE

Poland: Monetary policy on hold. As expected, the central bank maintained its policy rate at 3.75% for the third consecutive month. In May, inflation even edged down to 3.1% y/y (April: 3.2% y/y). Going forward, the central bank should retain a wait-and-see stance, though a rate hike is not ruled out this year.

LATIN AMERICA

Peru: The second round of the election took place on Sunday 7th June. The final result is not yet known. Regardless of the outcome, the highly fragmented political landscape suggests a term marked by tensions and likely significant difficulties in implementing economic reforms.

COMMODITIES

US oil stocks under pressure from record exports: Strategic Petroleum Reserve (SPR) of crude oil fell by 8 mb/d between the week of the 22nd of May and the 29th of May (close to an all-time high). Total US stocks of crude oil and petroleum products (commercial and SPR) have now dropped to their lowest level since 2004, at 1.573 million barrels. US distillate fuel oils stocks are close to their lowest level since 2003 (at 102 million barrels during the week of 29 May). The OPEC+ members have agreed to increase their production quotas by 0,188 mb/d in July (this decision is symbolic as navigation through the Strait of Hormuz remains minimal).

TO WATCH NEXT WEEK

US. May CPI (Weds) and PPI (Thu), U. Mich survey of consumer sentiment (Fri).

Europe. ECB policy meeting (Thu); German factory orders (Mon) and industrial prod (Tue); Banque de France monthly business survey (Wed), May CPIs (Fri); UK GDP and industrial prod, inflation.

Japan. Q1 GDP (Sun).

EM. Türkiye CBRT meeting (Thu); China inflation (Wed) and trade balance (Tue)

Other. EIA short term energy outlook (Tue).



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IN LATIN AMERICA, THE ENERGY CRISIS IS EXPECTED TO HAVE A MODERATE IMPACT ON PUBLIC FINANCES

Lucas Plé

Latin America is not exposed to the risk of a disruption in hydrocarbon supplies due to the conflict in the Middle East. However, the rise in international energy prices is exerting pressure on the region's public finances. In Brazil, Mexico and Colombia, fuel subsidies are increasing the risk of fiscal slippage; however, this risk is somewhat mitigated by the projected rise in oil-related fiscal revenues. In Chile and Peru, the lack of subsidies points to a significant inflationary impact that could result in a monetary tightening. This would increase the interest burden on public debt, but the moderate fiscal deficits in these countries should enable them to absorb the shock. Furthermore, governments in the region are expected to manage any tightening of international financial conditions with relative ease.

The energy shock poses moderate risks to public finances in Latin America

	Brazil	Colombia	Mexico	Chile	Peru
Fiscal deficit 2025, % GDP	8.1	5.7	4.9	2.8	2.4
Interest payments on debt 2025, % government revenue	19.5	8.4	24.4	3.3	7.4
Government debt, % GDP	75.2	64.3	47.8	43.5	28.8
Share of debt held by non-resident investors, % total	12.0	28.8	25.7	34.2	12.4
Share of foreign-currency debt, % total	3.4	28.3	15.7	34.0	41.6

Note: Sovereigns are ranked according to their level of risk exposure, ranging from green (low exposure) to red (high exposure).

SOURCES : IMF, WORLD BANK, NATIONAL INSTITUTES OF STATISTICS, BNP PARIBAS

The impact of the energy shock on primary fiscal balances is expected to be limited, but the risks of slippage should be closely monitored

The governments of Chile and Peru have not introduced any fuel subsidies. Consequently, gasoline and diesel prices have risen by 31% and 60% respectively in Chile, and by 43% and 65% in Peru since the start of the conflict in the Middle East. The inflationary impact of rising energy prices in these countries will be significant¹, as transport accounts for 12-13% of the consumer price index.

In Brazil, the cost of the subsidies introduced since March (BRL 7.5 billion per month) is expected to be entirely offset by the rise in oil revenues (BRL +8.5 billion per month). However, given the electoral context, these subsidies could be increased. In such a scenario, the energy shock could result in a negative net cost for public finances.

In Mexico and Colombia, fuel prices are set by the government, which increases the risk of fiscal slippage. The difference between international and domestic prices is an indirect subsidy financed by the state. Since late February, gasoline and diesel prices have risen slightly in Mexico (+10.6% and +4.1% respectively) while remaining virtually unchanged in Colombia (+1.9% and +2.7% respectively). The cost of subsidies could therefore be significant and may not be fully offset by the increase in fiscal revenue from oil.

Chile and Peru have the fiscal leeway to absorb higher rates in the event of a monetary tightening.

So far, the monetary *status quo* expected prior to the energy shock has been preserved in Chile and Peru; however, given the inflationary impact of the energy shock, an increase in key interest rates is likely. Monetary tightening is expected to result in a higher interest burden on debt, yet these countries have the fiscal leeway to absorb this additional cost. Fiscal deficits were below 3% of GDP in 2025, and interest payments did not exceed 8% of fiscal revenue (*Heatmap, lines 1 and 2*).

Other central banks in the region are not expected to react to the energy shock. In Brazil and Mexico, they have cut their key interest rates since the start of the conflict, in reaction to disinflation (in Brazil) and slowing growth (in Mexico). In contrast, the Colombian central bank has raised its key interest rate in response to domestic inflationary pressures that existed prior to the conflict in the Middle East. In Colombia, the rise in debt interest payments in 2026 will further reduce fiscal space, which has already been diminished by the government's expansionary fiscal policy.

¹ Year-on-year, inflation rose from 2.2% in February to 3.9% in May in Peru. In Chile, it rose from 2.4% in February to 4% in April.



The risks associated with a tightening of global financial conditions are limited in the short term

Latin American sovereigns appear vulnerable to a tightening of international financial conditions (Heatmap, lines 4 and 5), which raises risks of capital outflows and downward pressure on currencies. This vulnerability arises from the significant shares of debt denominated in foreign currency (Peru, Chile, Colombia) and debt held by foreign investors (Chile, Colombia, Mexico). Only Brazil has limited exposure to these risks.

However, certain factors help to mitigate the risks for the most vulnerable countries. In Chile and Peru, the governments can manage an increase in debt servicing costs due to their comfortable fiscal buffers. Besides, the depreciation of exchange rates against the US dollar since the start of the conflict has been modest (-3.3% in Chile and -1.7% in Peru). Colombia and Mexico, being oil-producing countries, have thus far avoided the financial volatility resulting from the energy shock – Colombia's energy trade balance shows a healthy surplus, while Mexico's shows a moderate deficit².

In conclusion, similar to Asia³, the energy shock poses moderate risks to Latin America's public finances, which should remain manageable if the conflict in the Middle East is resolved soon. Despite the fact that Colombia and Mexico are oil-producing countries, the deterioration of public finances in these countries is expected to continue.

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² See also: [Latin America: more exposed to inflationary pressures than to disruptions in hydrocarbon supplies](#).

³ See also: [The impact of the energy crisis on public finances in emerging Asia](#).



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1^{er} trimestre 2026

Avril 2026

2026-2027 Economic Outlook: Advanced Economies Facing the Risk of Stagflation

By Lucie Barette, Anis Bensaidani, Maëlys Biot, Stéphane Colliac, Guillaume Derrien and Marianne Mueller (Advanced Economies Team) and Hélène Baudchon (Deputy Chief Economist)

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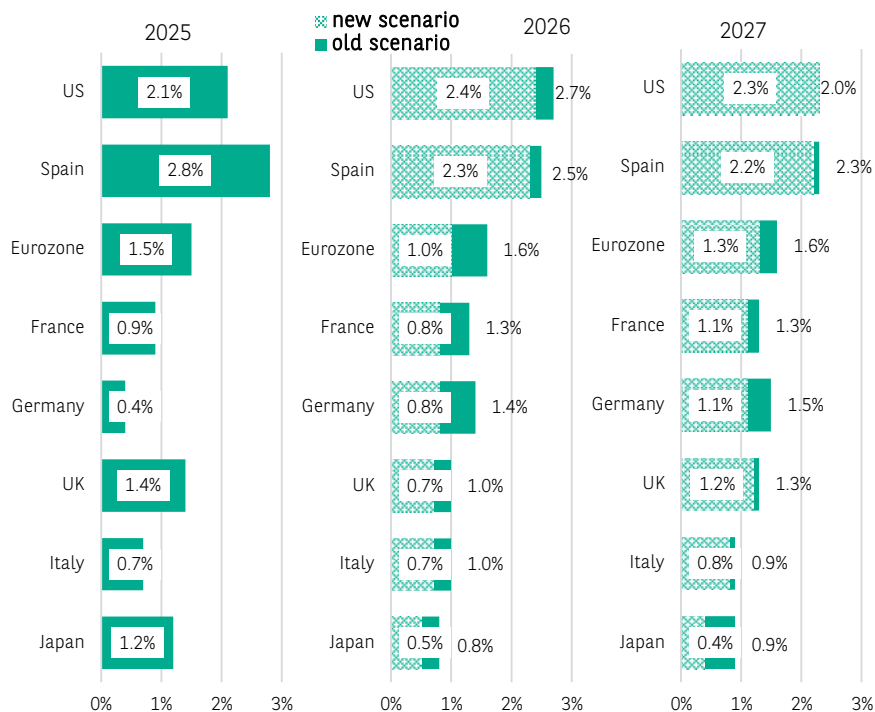


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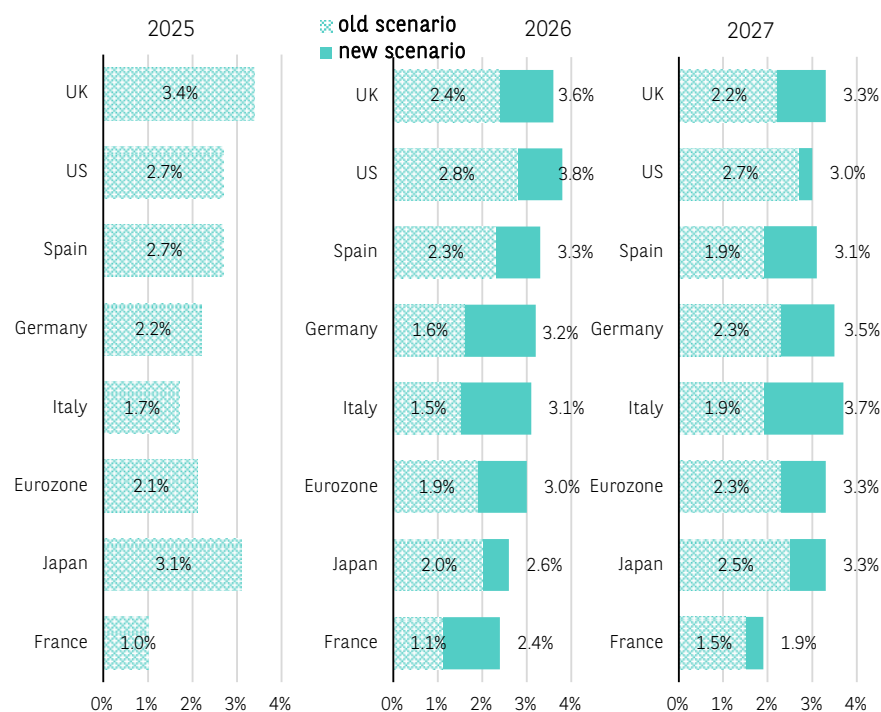
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2026-2027 Economic Outlook (as of 27 May 2026)

Growth forecasts
(annual average, %)



Inflation forecasts
(annual average, %)



Source: National, BNP Paribas



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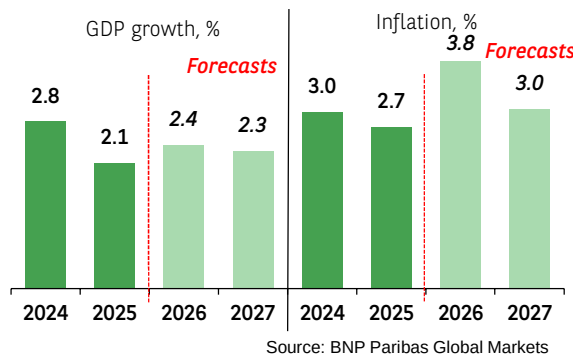
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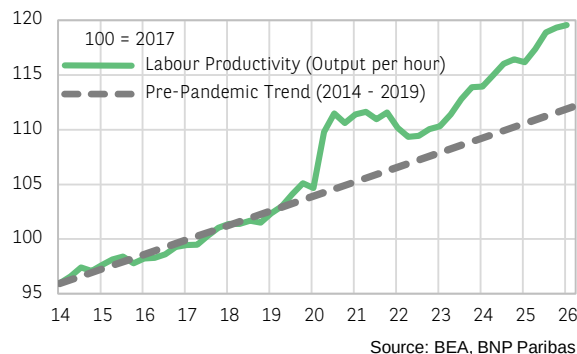
United States: Growth and Full Employment Tested by Uncertainty



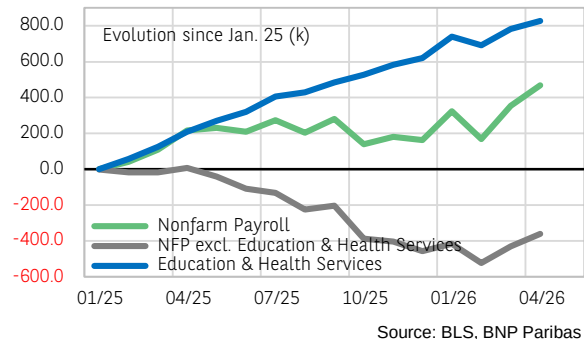
Growth above potential, inflation above target



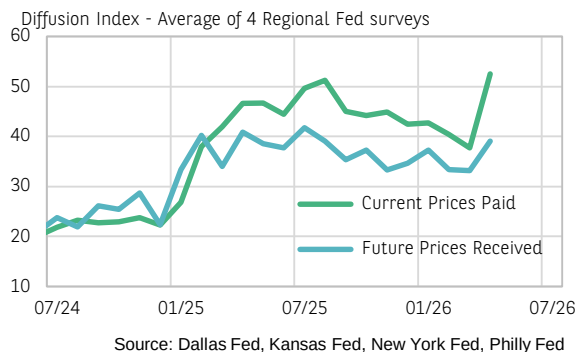
Above-trend productivity underpins growth



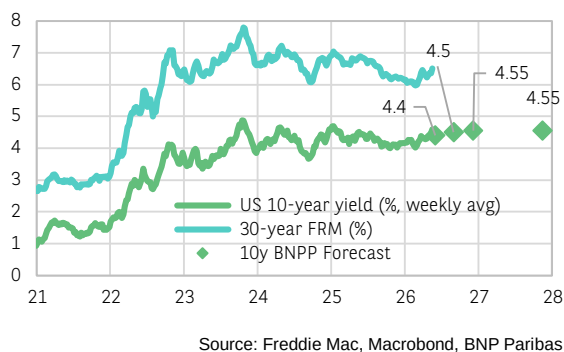
Slow payroll growth supported by healthcare



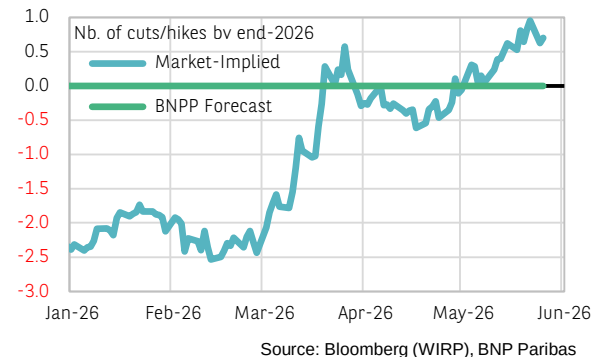
Prices: One shock follows another



Mortgage Rates: A short-lived relief?



FOMC to hold through end-2026 with a less-dovish stance priced-in by markets



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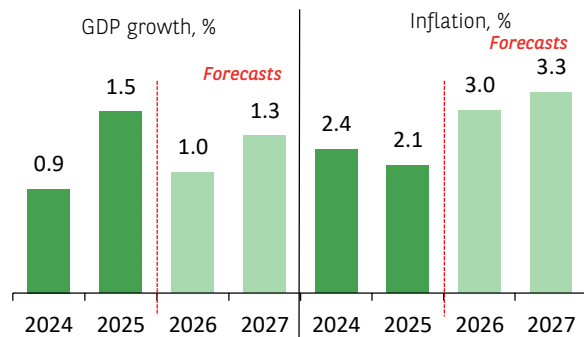
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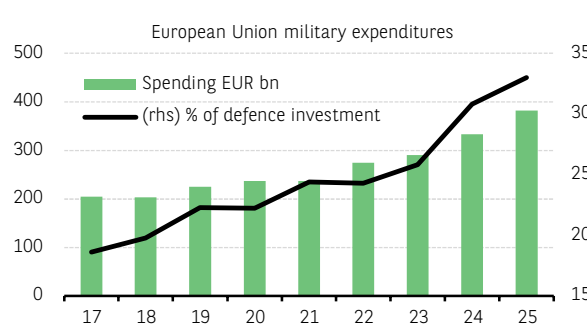
Euro area: Recovery fragile but not in doubt



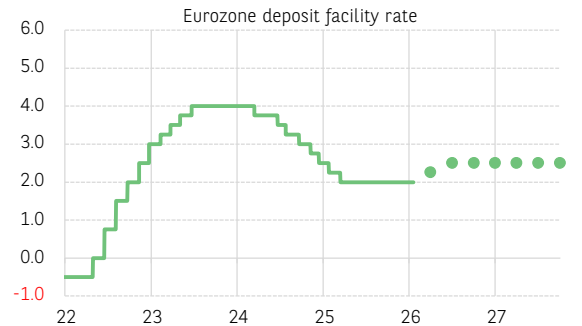
Growth hindered but structural strengths preserved



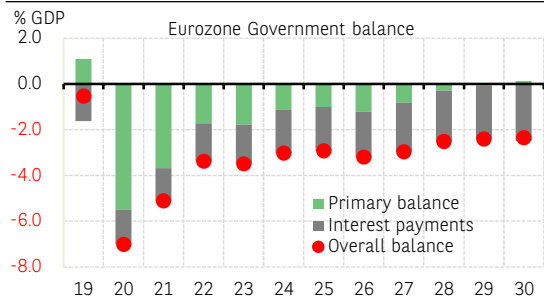
Structural factors supporting the recovery remain intact



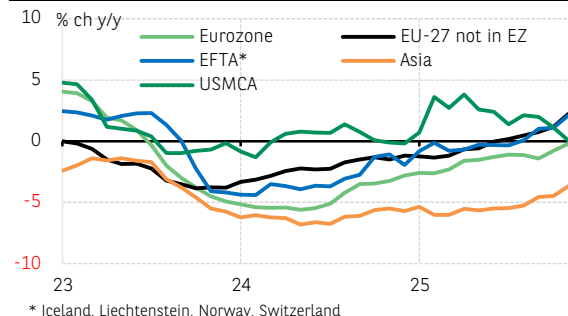
Interest rate rises brought forward to 2026



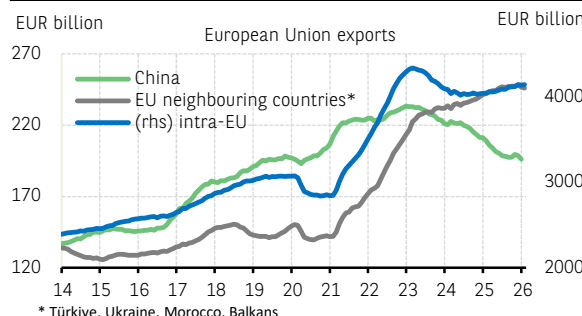
Moderate deterioration in public finances expected



Intra-EU trade expected to gain further momentum



The reorganization of export flows will continue



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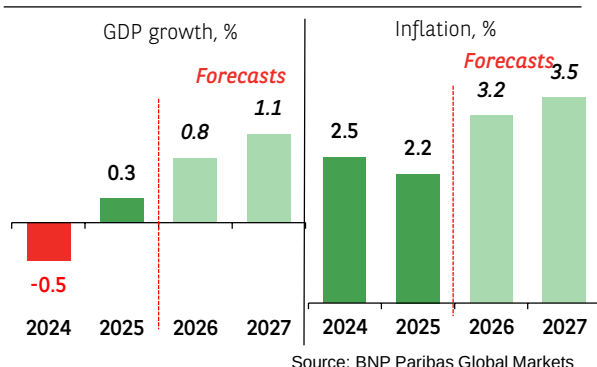
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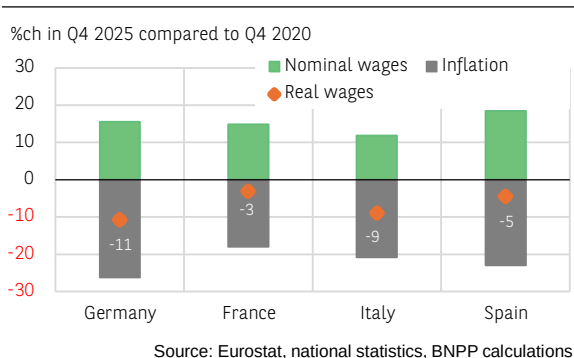
Germany: A modest recovery, but one that is expected to take hold



In 2026, the growth recovery should strengthen but inflation increase



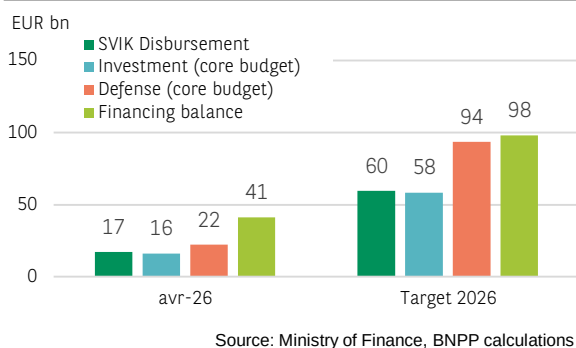
German wages have recovered less than in other countries to their pre-Covid inflationary crisis levels



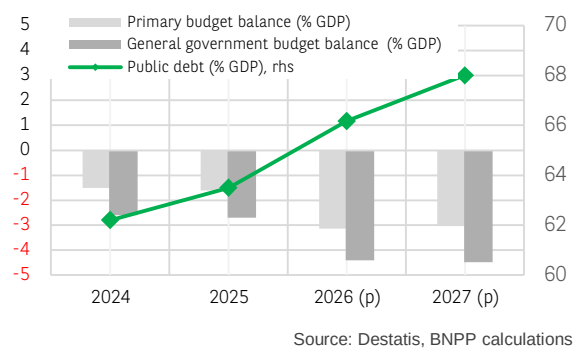
The labour market remains historically strong



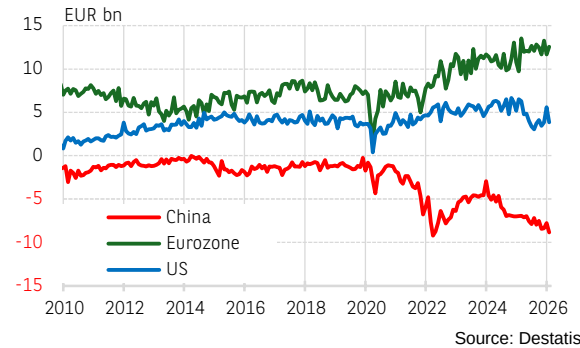
Domestic demand should stay the main growth driver



A fiscal trajectory largely unchanged at this stage



A rebalancing of foreign trade in underway



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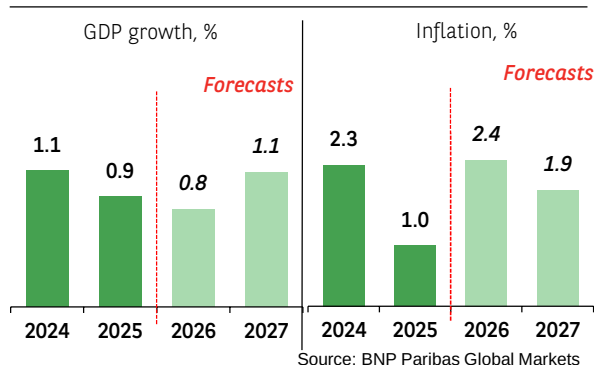
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Classification : Internal

France: growth and public finance to stay on track despite the inflation shock



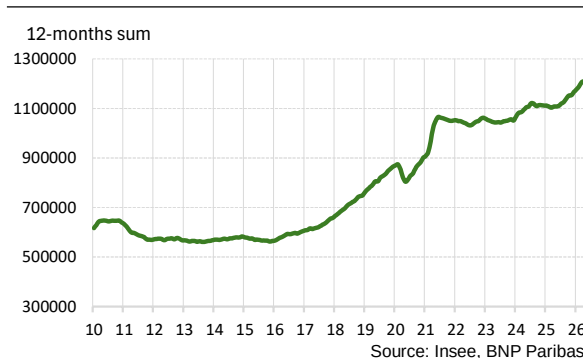
GDP Growth to be resilient despite the inflation shock



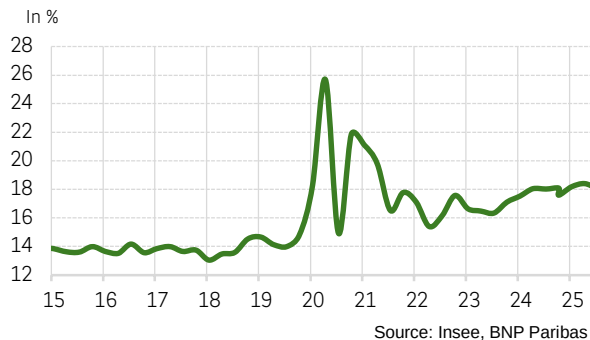
French exports are boosted by increased AI, military and aeronautics



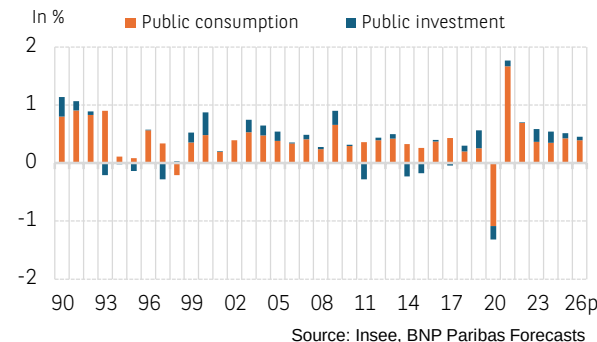
Business creations: a new wave (AI driven)



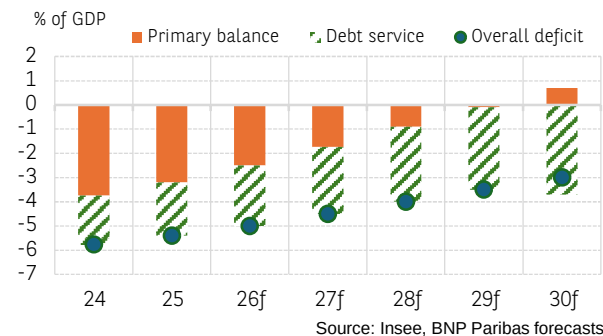
Household savings to remain high as a result of purchasing power pressures



Military and social spending are boosting public contribution to GDP growth



Fiscal consolidation should be increasingly constrained by the debt service



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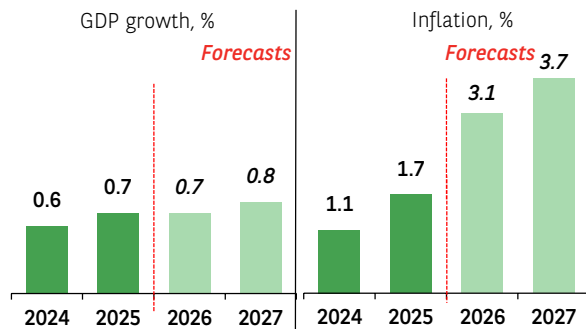
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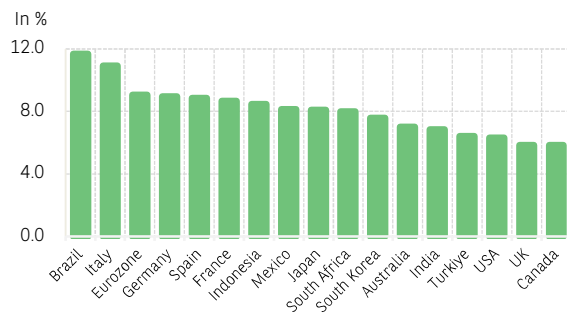
Italy: Navigating energy vulnerability, resilient trade and limited fiscal capacity



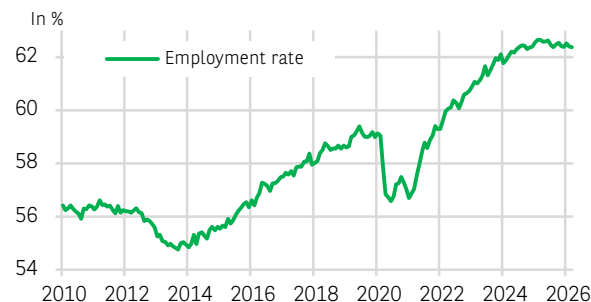
Growth is expected to stagnate while inflation surges



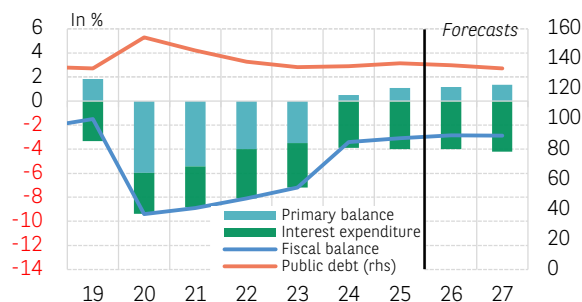
Energy accounts for a significant proportion of the consumer basket



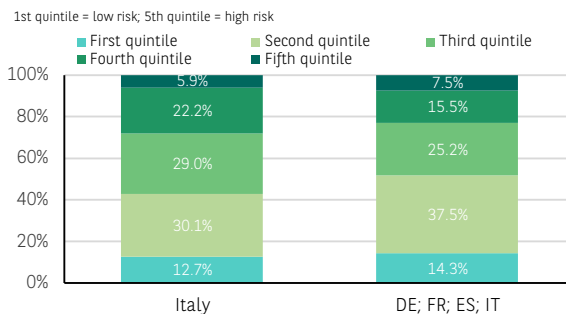
The employment growth is beginning to run out of steam



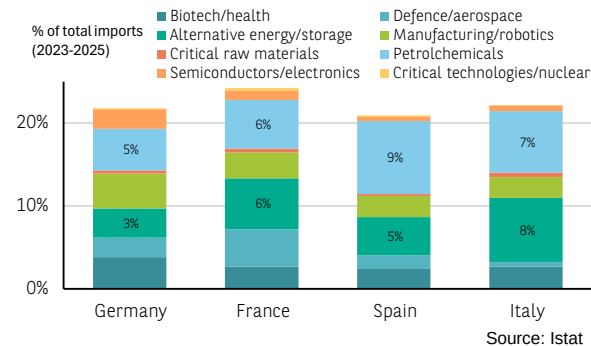
Public finances: real progress, thin margins



Italy's strategic imports originate from countries that are politically riskier than its eurozone peers



The import side remains vulnerable to potential disruptions in the supply of strategic goods



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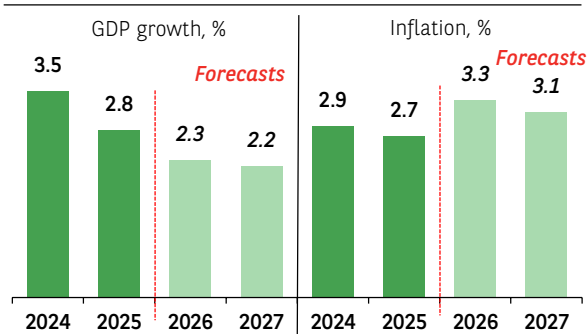
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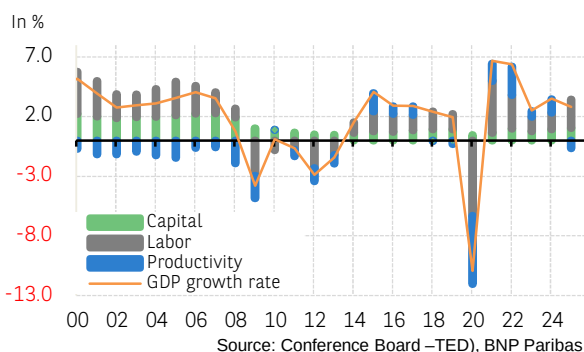
Spain: Domestic demand is expected to continue to drive growth



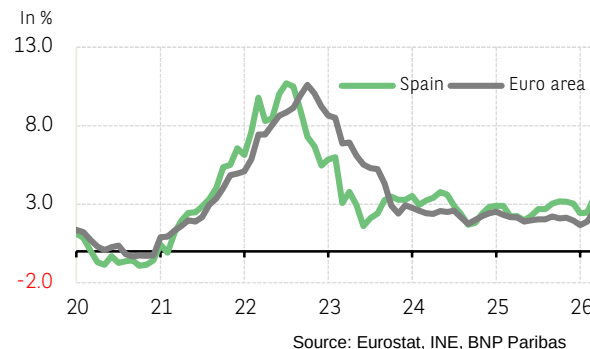
Growth is expected to remain strong and inflation is set to rise



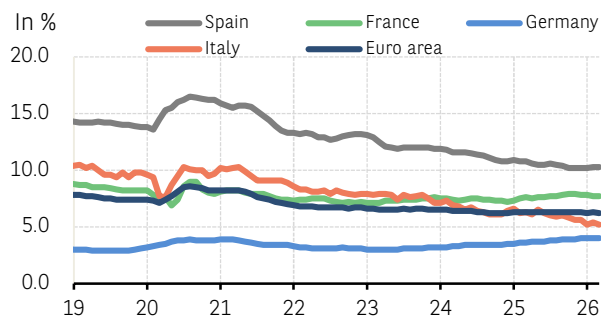
Growth driven by employment and held back by productivity



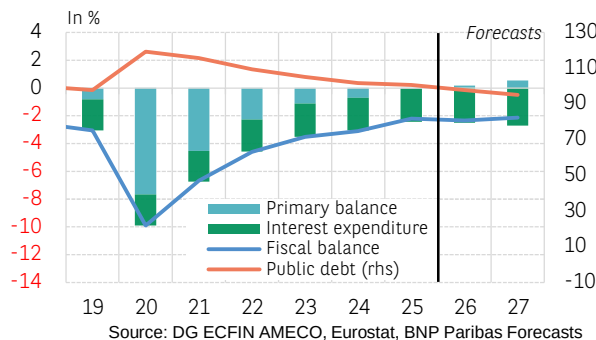
Inflation remains higher than in the eurozone



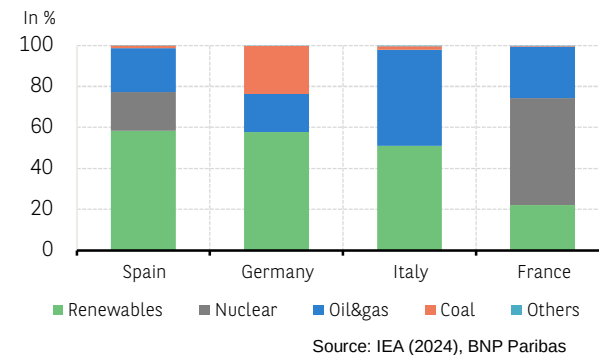
The unemployment rate remains above the Eurozone average



Strong nominal growth will reduce public debt



Renewable energy accounts for more than half of Spain's electricity generation



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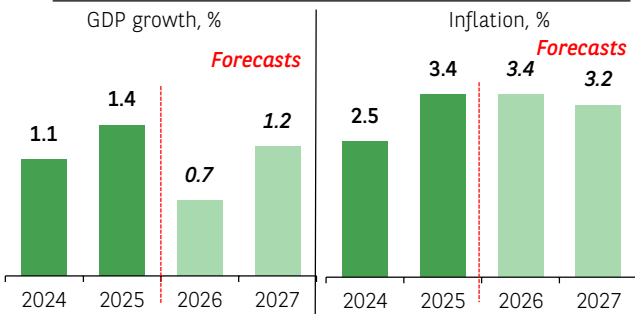
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United Kingdom: Risk of stagflation

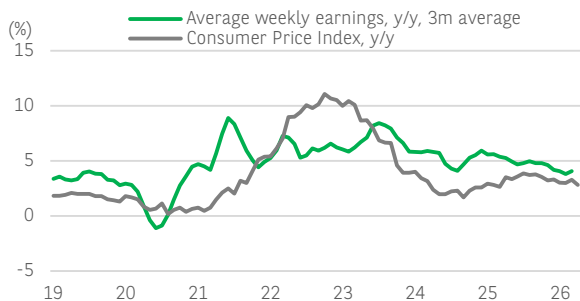


Significant growth slowdown, inflation rebound



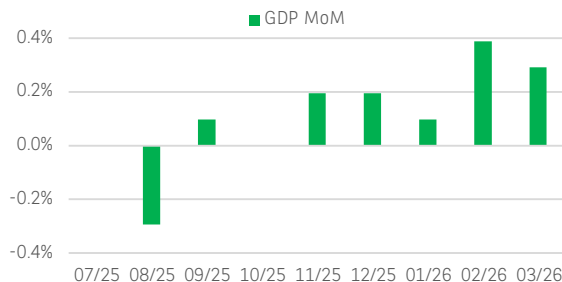
Source: BNP Paribas Global Markets

As labour market conditions have loosened, nominal wage growth has been decelerating and could undershoot inflation



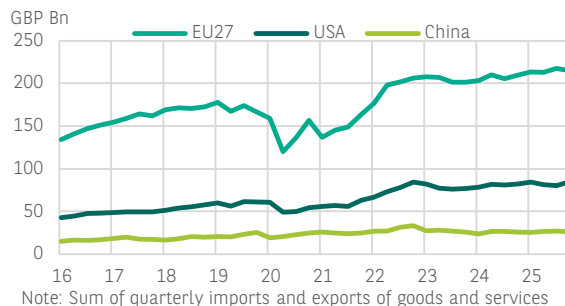
Source: ONS, BNP Paribas

Strong early-year momentum is expected to offset weaker quarters later on, weighed down by private domestic demand



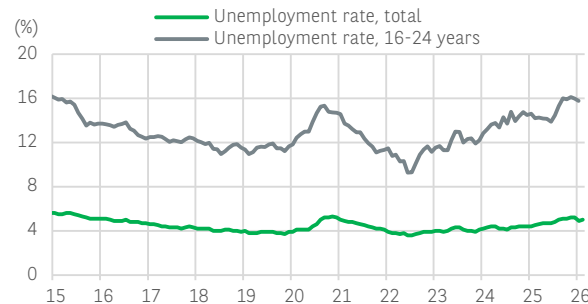
Source: ONS, BNP Paribas

Trade intensity (exports and imports of goods and services) underscores realignment with the EU



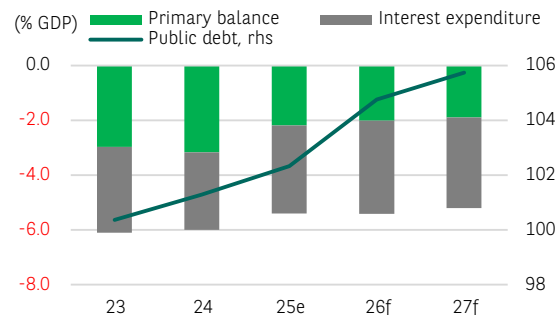
Source: ONS, BNP Paribas

Labour market stabilised at the start of the year after several months of deterioration, but is expected to weaken slightly



Source: ONS, BNP Paribas

Limited fiscal room for manoeuvre constrains the government's ability to respond to new shocks



Source: ONS, BNP Paribas



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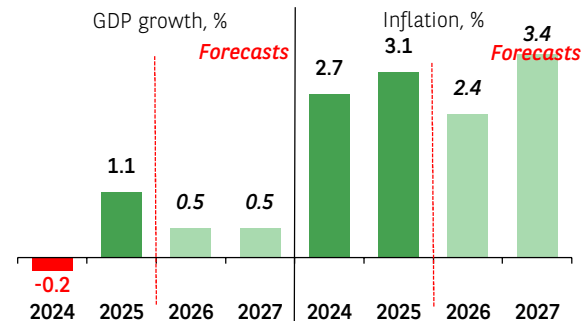
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Japan: Strong momentum, already under threat

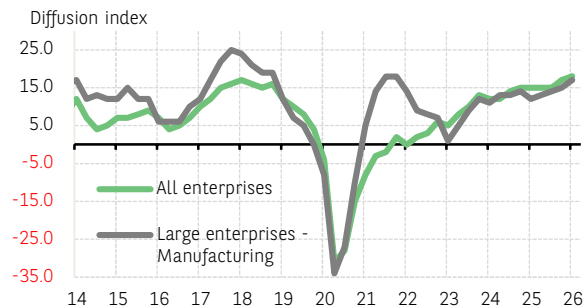


Energy shock weighting on the outlook



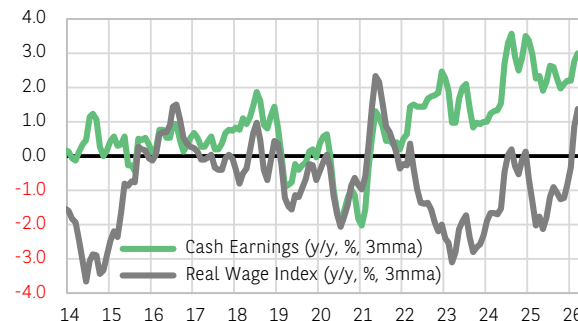
Source: BNP Paribas Global Markets

A sustained improvement in the business climate, undeterred by the tariff shock



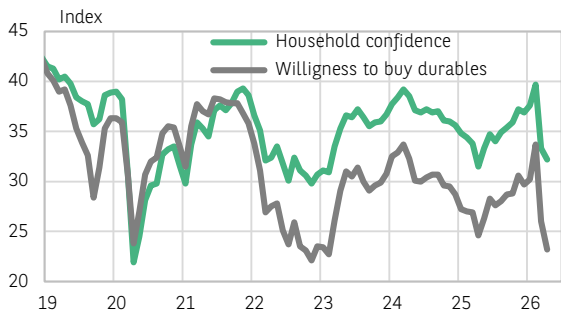
Source: BoJ, BNP Paribas

Real wages are struggling to move into positive territory



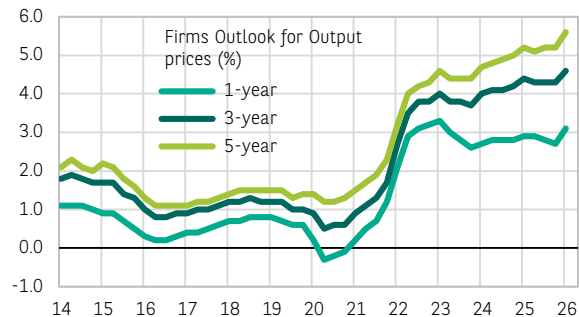
Source: Japanese Ministry of Health, Labour and Welfare, BNP Paribas

Abrupt change in consumer confidence



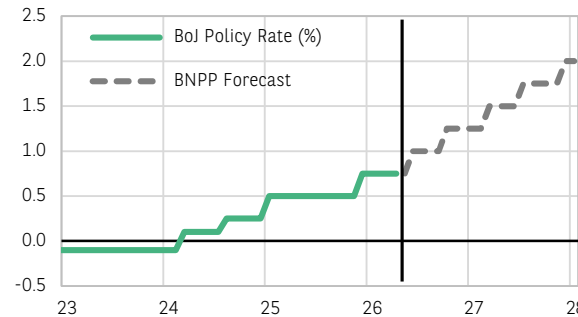
Source: Cabinet Office, BNP Paribas

Shift in firms' price-setting behavior



Source: BoJ, BNP Paribas

A cautious adjustment of the degree of monetary accommodation



Source: Bank of Japan, BNP Paribas Global Markets



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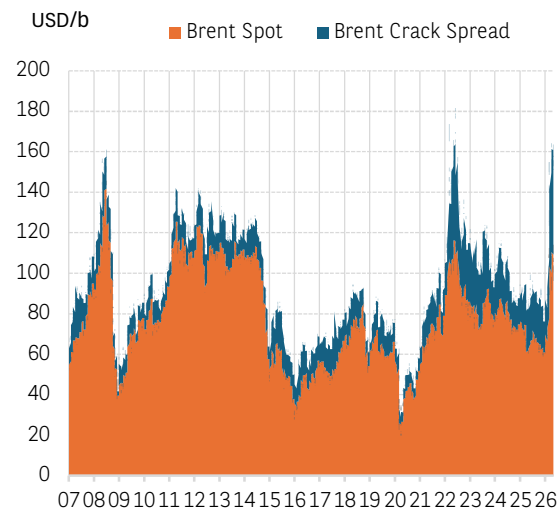
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Oil prices: a significant rise, but one that should be put into perspective

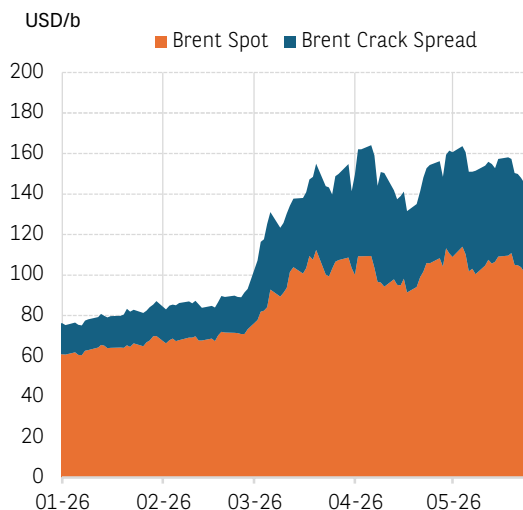
Will the shock have the same impact as it did in 2022? — Energy shock: Dashboard 2026 vs. 2022

When the crack spread is added to the spot oil price, the total approaches the highs reached in 2008 and 2022



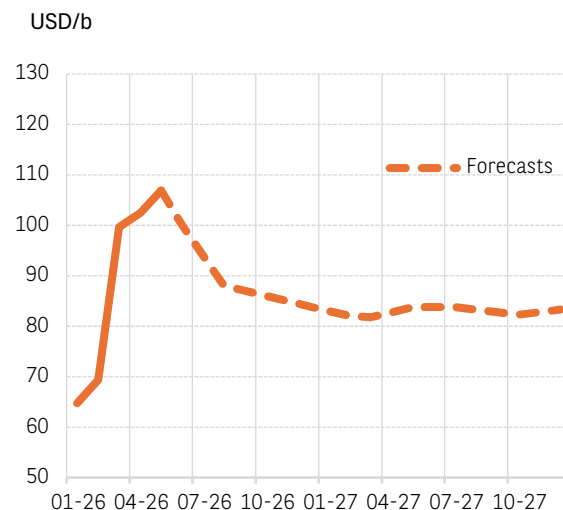
Source: ICE, Macrobond, BNP Paribas

In 2026, for consumers, the rise in oil prices is driven more by the crack spread than by the increase in spot prices



Source: ICE, Macrobond, BNP Paribas

Our baseline scenario for Brent prices does not anticipate any easing of tensions before the end of the second quarter



Source: BNP Paribas



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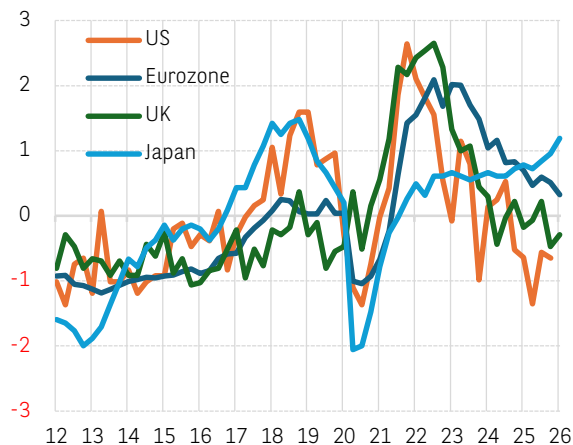
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The impact of the shock will be different from 2022

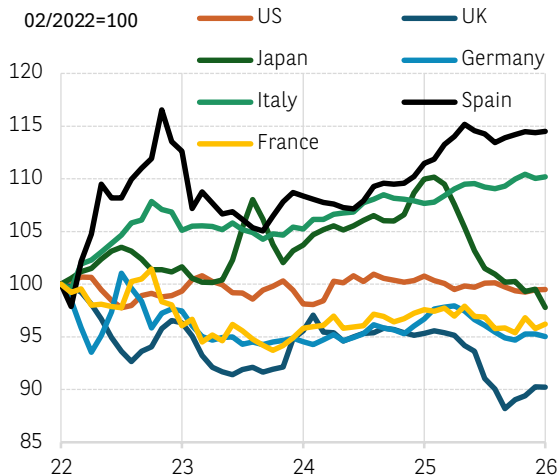
Supply constraints are limited except in Japan

z-score Supply-side constraints indicators



Source: National statistics, BNP Paribas

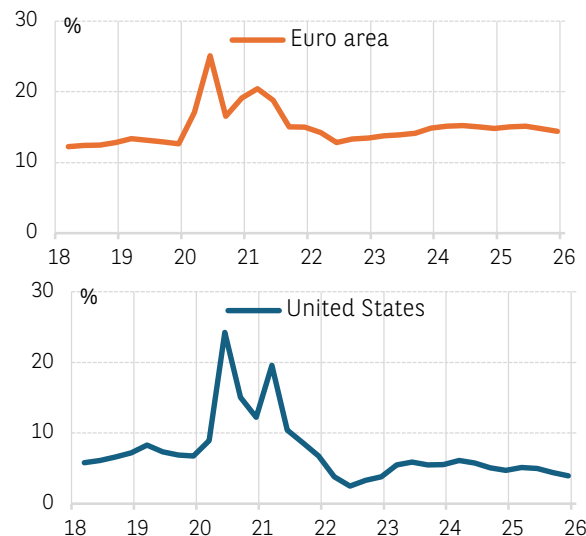
The decline in fuel consumption took some time to materialize following the 2022 energy crisis



Note: Data smoothed over a three-month period

Source: National statistics, Macrobond, BNP Paribas

The household savings rate is higher than pre-Covid levels in the Eurozone and significantly lower than that level in the United States



Source: BEA, Eurostat, BNP Paribas



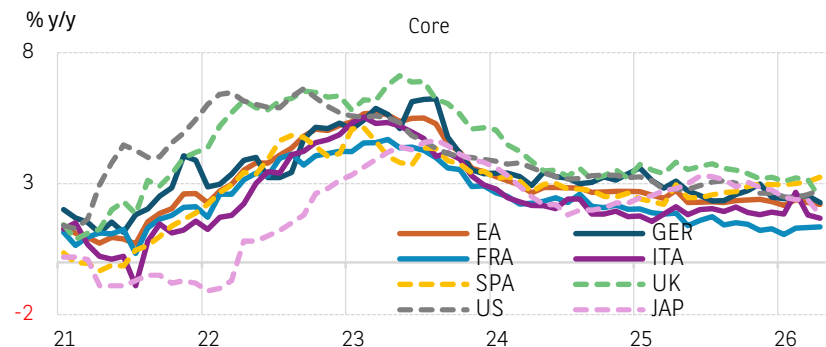
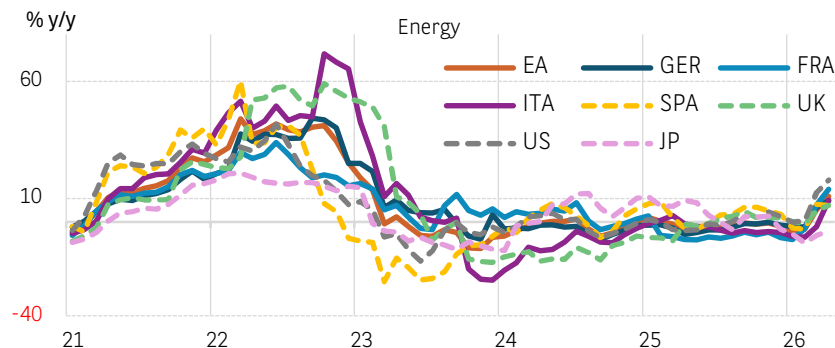
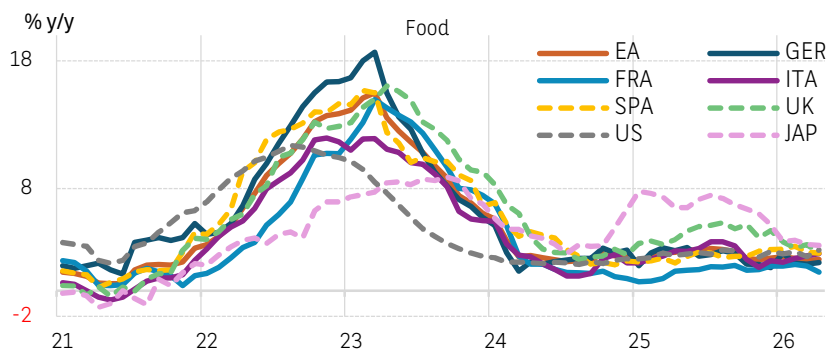
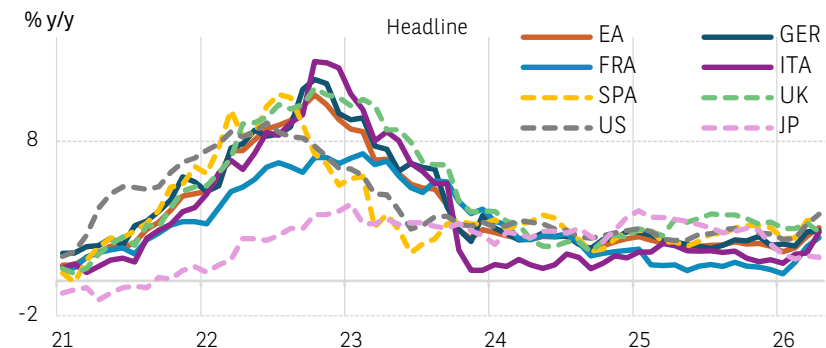
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An impact on inflation limited for now

Energy inflation is just beginning to pick up, while inflation in other categories shows no signs of accelerating at this stage



Source: National statistics, BNP Paribas



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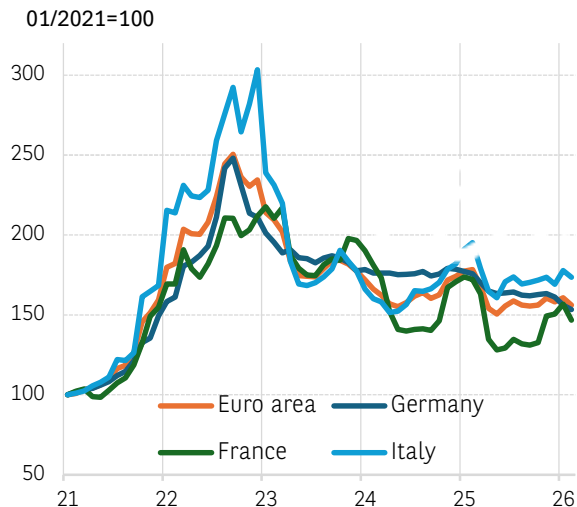
Source: National statistics, Macrobond, BNP Paribas

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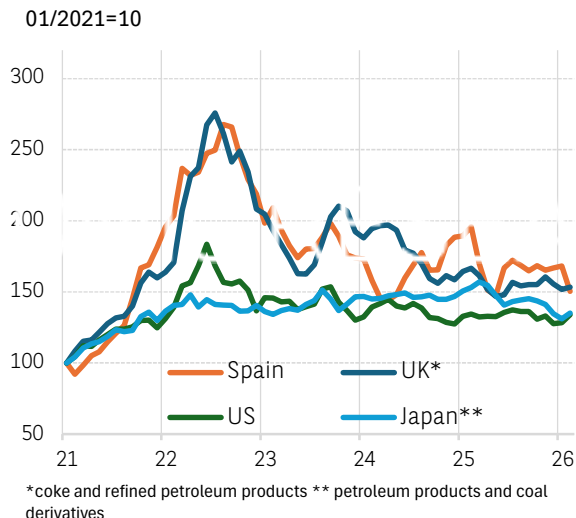
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A low impact for the time being on energy producer prices and a boost for electrification

After peaking in 2022, energy producer prices have stabilized

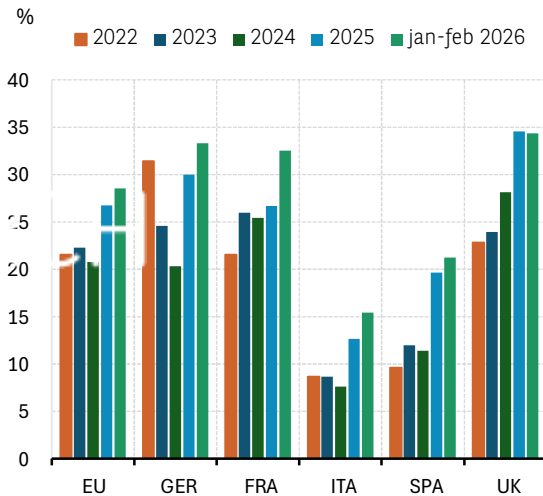


Source: National statistics, BNP Paribas



Source: National statistics, BNP Paribas

New green transition measures are expected to boost the share of EVs in the automotive market



Source: ACEA, BNP Paribas



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1. Économie mondiale : les points à surveiller au second semestre 2025

ACTUALITÉ ÉCONOMIQUE

Lundi 8 Septembre 2025

ECO WEEK
En Chine, la croissance régresse mais contribue-t-elle à la déflation soit son d'être gérée

SCÉNARIO ET PRÉVISIONS
Le scénario et les prévisions de la Recherche économique - 8 septembre 2025

Vendredi 5 Septembre 2025

ECO FLASH
États-Unis : l'été maussade et l'emploi va passer le pic à août

ECO INSIGHT
Productivité, croissance et emploi à l'ère de l'IA : synthèse de la littérature économique

Mardi 3 Septembre 2025

GRAPHIQUES DE LA SEMAINE
États-Unis : la Gen Z est-elle sur-éduquée et les effets écopassés sur la demande de l'habitat ?

ECO INSIGHT
Jusqu'où peut-on aller ? Une perspective à long terme sur les taux longs centrée sur les États-Unis

ECOPULSE

ECO PERSPECTIVES

ECO TV
Évolutions récentes et perspectives à court terme des exportations des pays émergents

ECO TV, The Graph
Oil: how vulnerable are oil countries to falling prices?

GRAPHIQUE DE LA SEMAINE

THEMATICS

ECO CHARTS

ECONOMIC RESEARCH

ECOWEEK

CHART OF THE WEEK
Global Supply: Will the Baltic Sea have the desired effect on demand for oil?

ECONOMIC RESEARCH

PODCAST - MACRO WAVES

ON THE SAME THEME

Tuesday, September 2, 2025

ECO FLASH
India: Fixed policy to support growth

ECO INSIGHT
Have big banks got a longer-term perspective on long-term interest rates, with a focus on the US

Thursday, July 31, 2025

TARIFF TRACKER
Tariff tracker

Monday, July 28, 2025

ECO FLASH
EU-US Trade Deal: A Damage Limitation Scenario

Friday, July 25, 2025

PODCAST - MACRO WAVES
Global Economy: Interest to watch in the second half of 2025

Thursday, July 24, 2025

CHARTS OF THE WEEK
The first effects of the Trump tariffs are noticeable, and they are massive

ECOINSIGHT

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The updated scenario and forecasts of the Economic Research - September 8, 2025

Issue 25.31
1 September 2025

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ECONOMIC RESEARCH

INFLATION

INFLATION TRACKER:

INFLATION CONTINUES TO RISE GLOBALLY, IN BOTH ADVANCED AND EMERGING ECONOMIES, AND REMAINS LARGELY DRIVEN BY ENERGY PRICES



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General dynamics of inflation:

Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.

Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.

Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

Emerging economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.

Commodities:

Commodity prices remain high, but are stabilising.

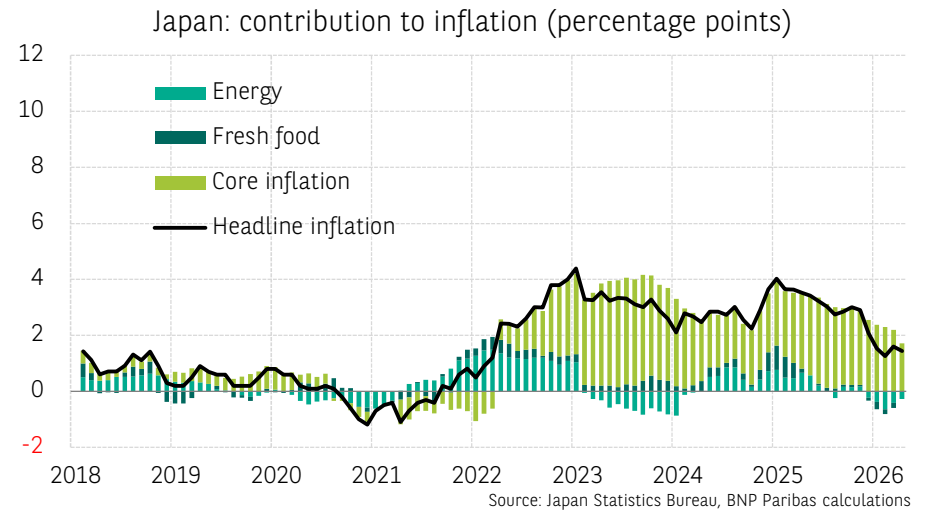
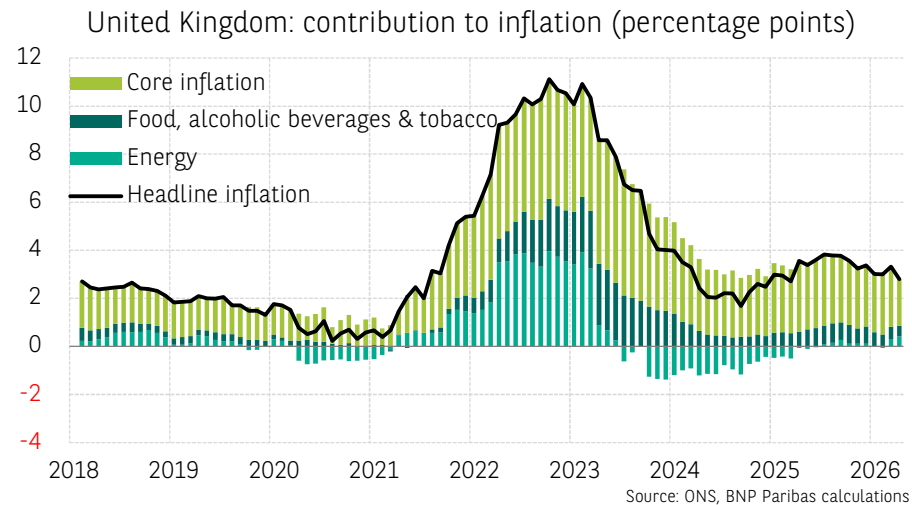
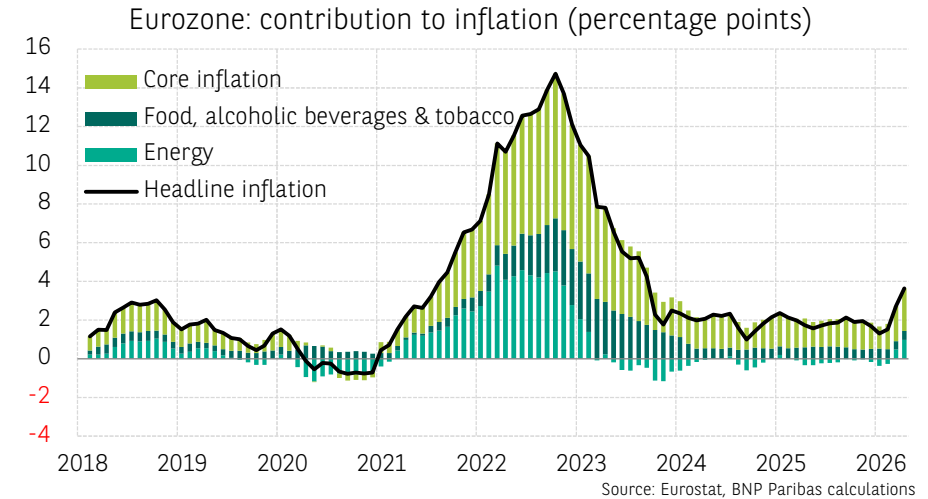
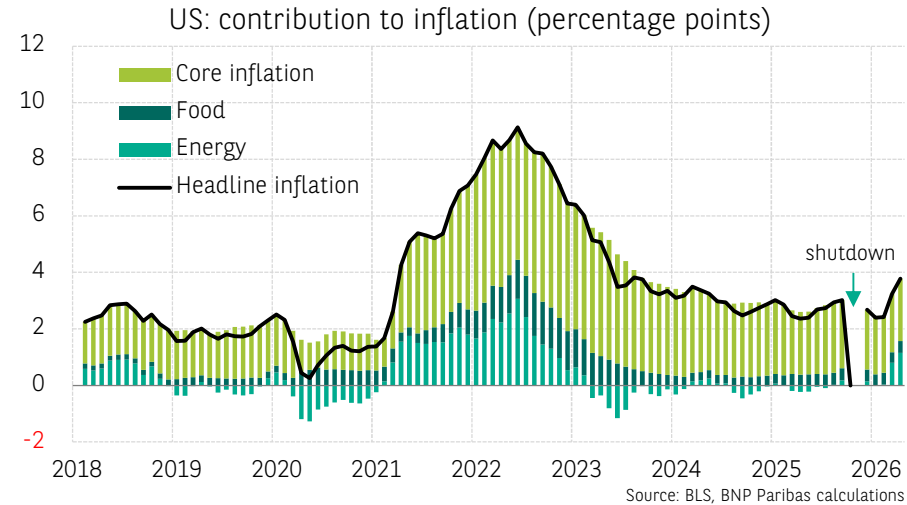


General dynamics of inflation:

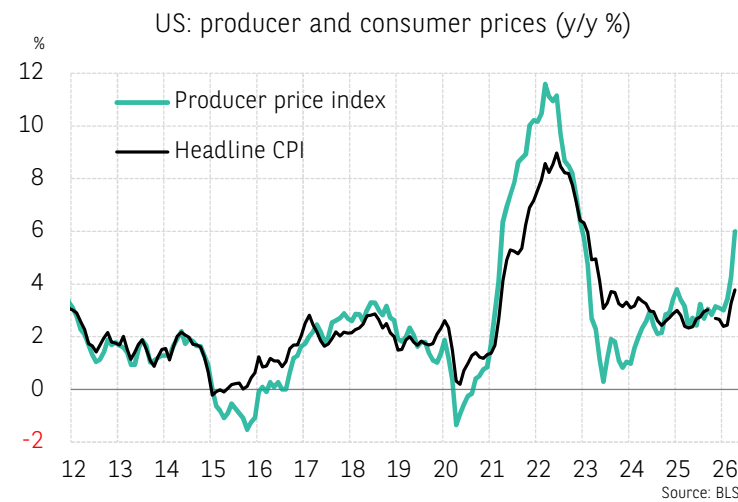
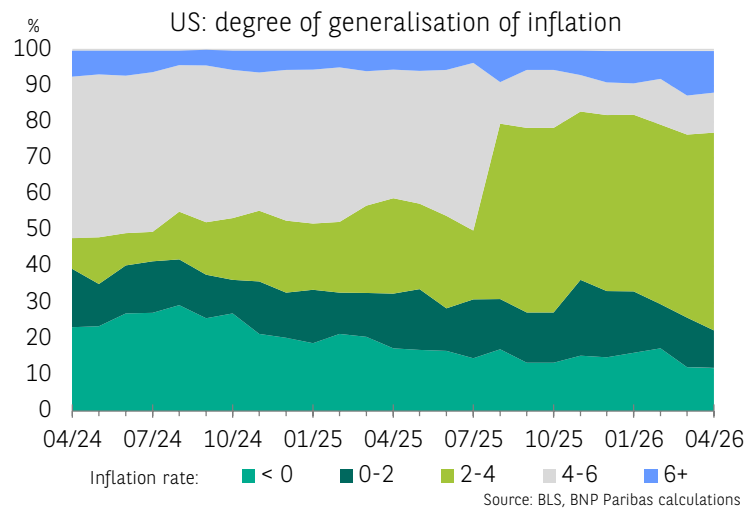
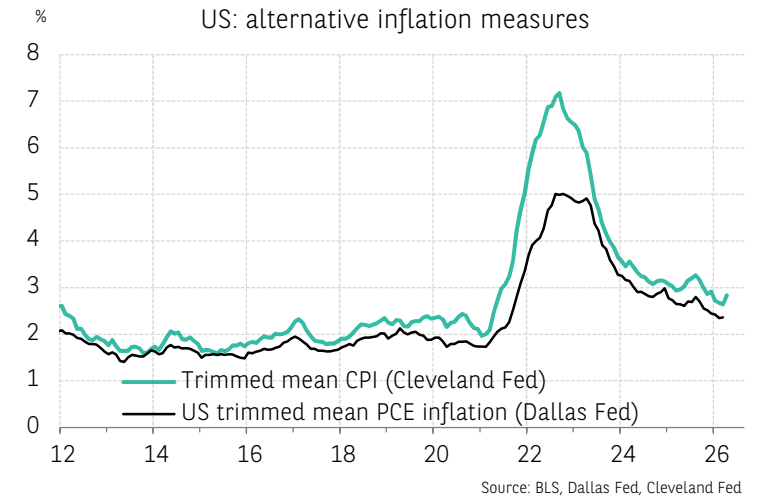
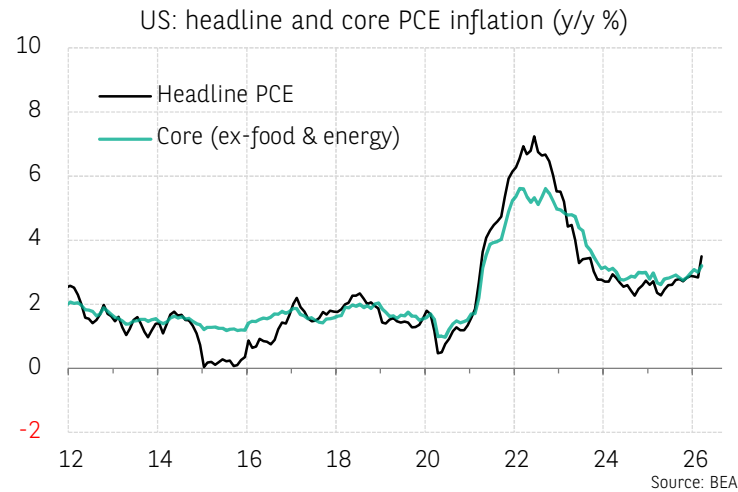
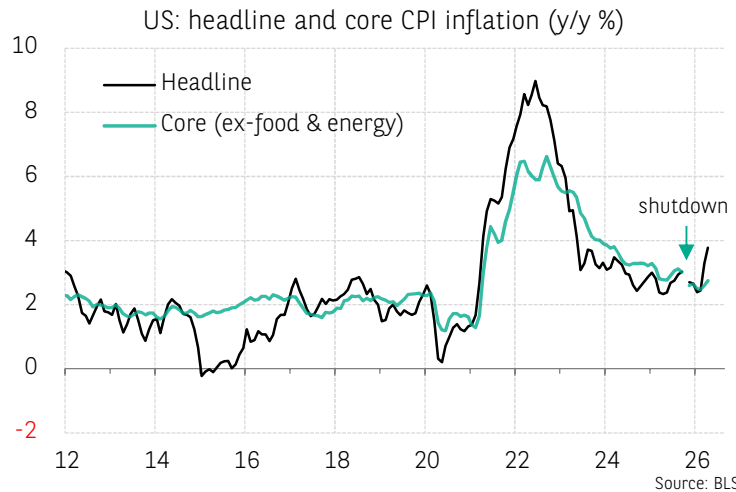
Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.



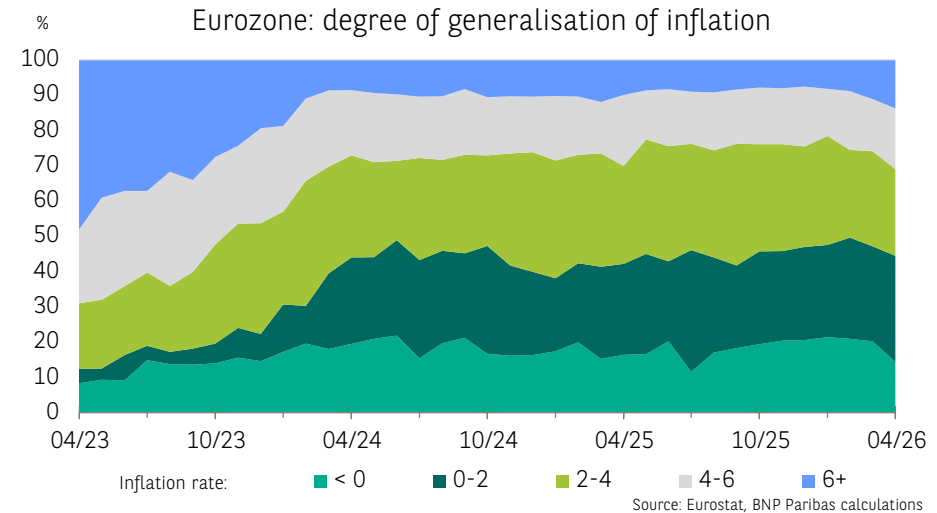
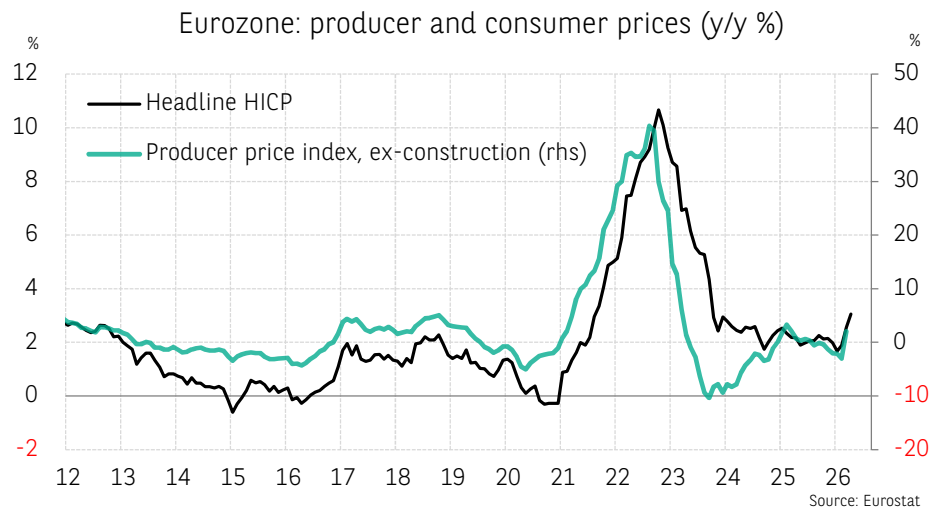
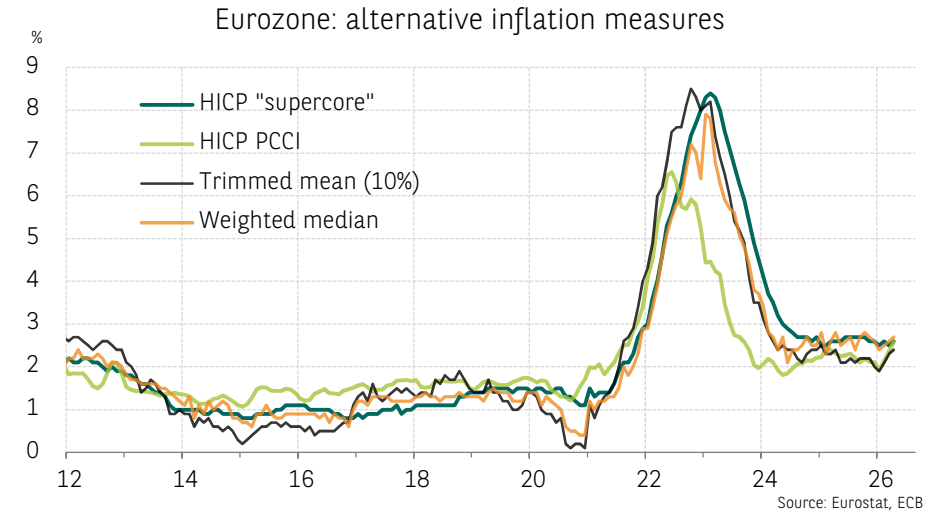
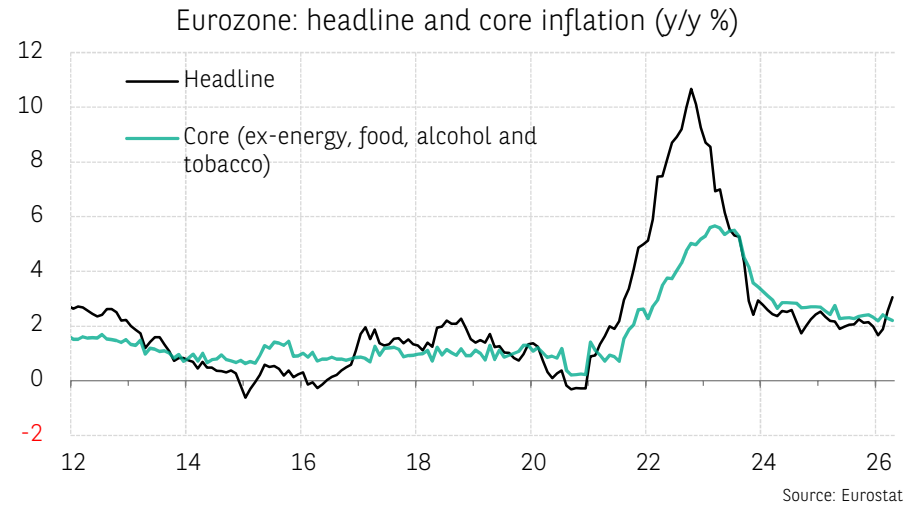
General dynamics of inflation: decomposition of inflation



Inflation dynamics in the United States: different metrics and degree of generalisation

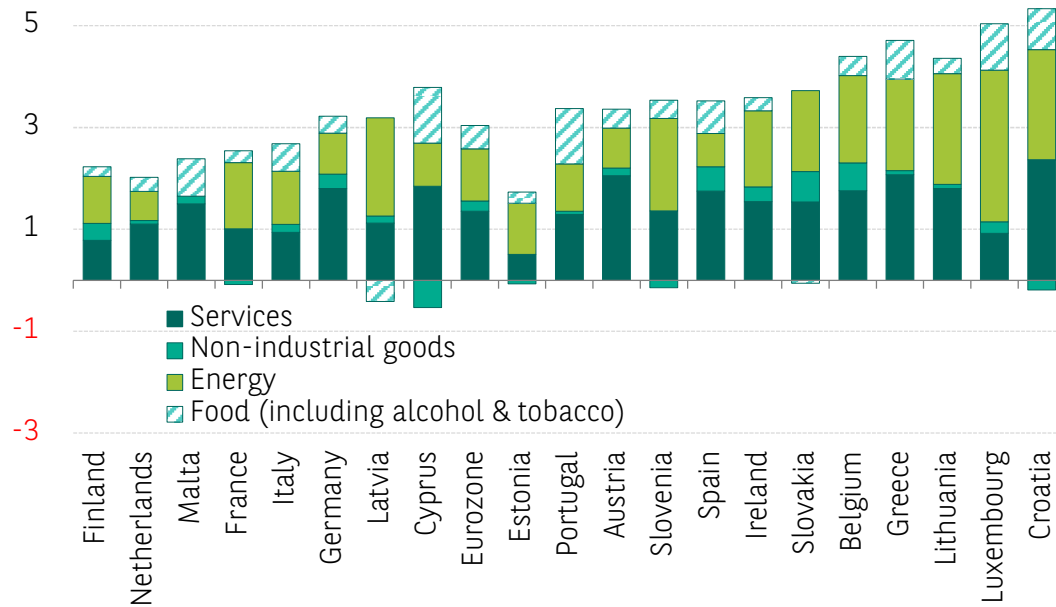


Inflation dynamics in the Eurozone: different metrics and degree of generalisation



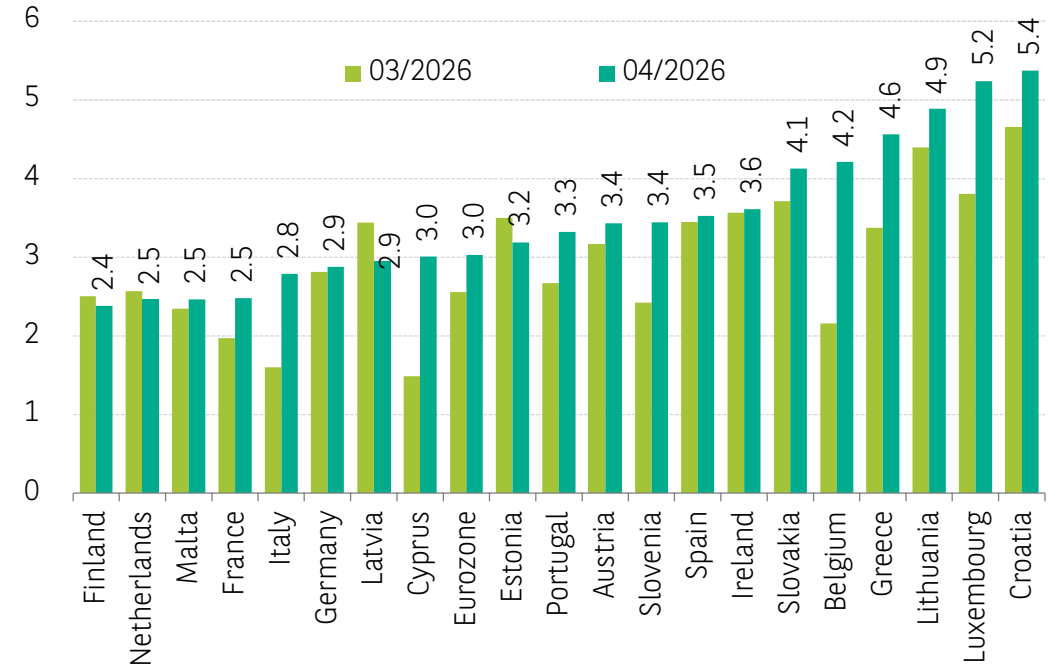
Inflation dynamics in the Eurozone by country (1)

Eurozone: contribution to inflation (% points), April 2026



Source: Eurostat

Eurozone: inflation in y/y % change



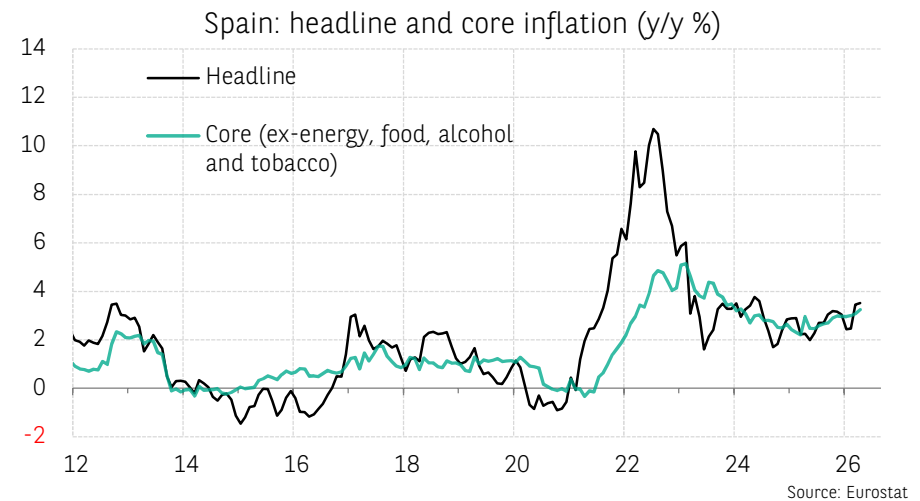
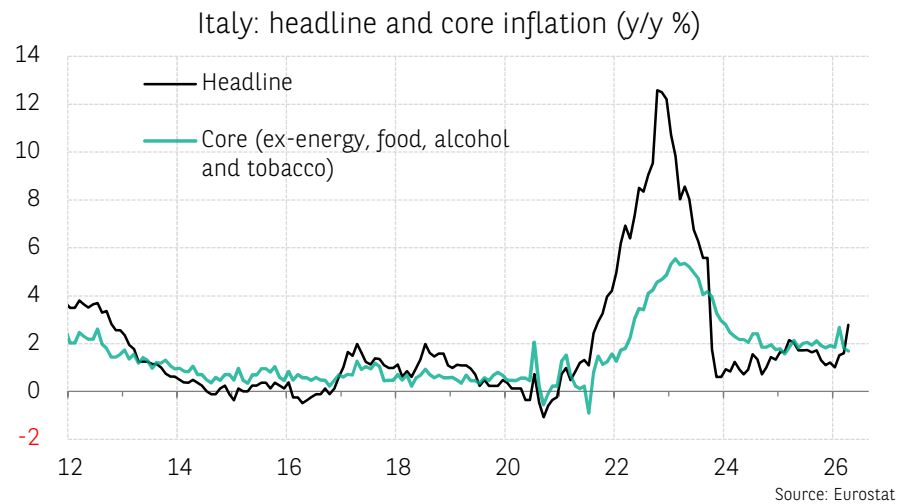
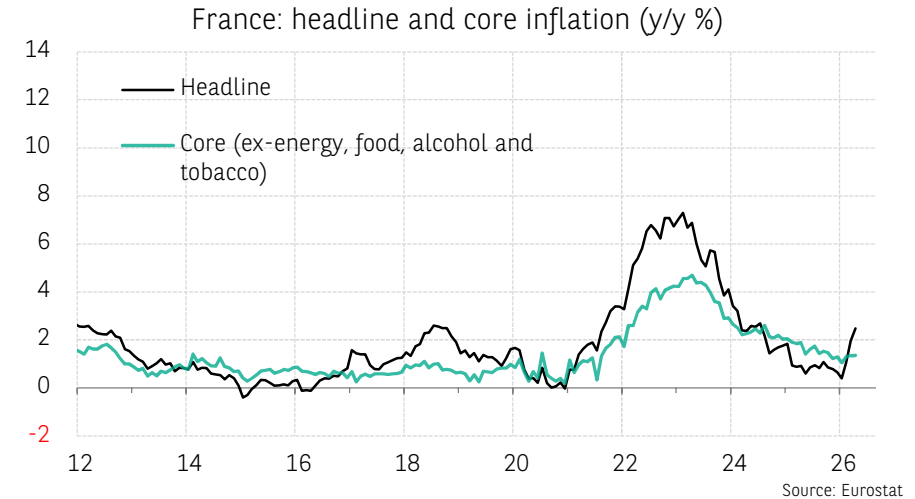
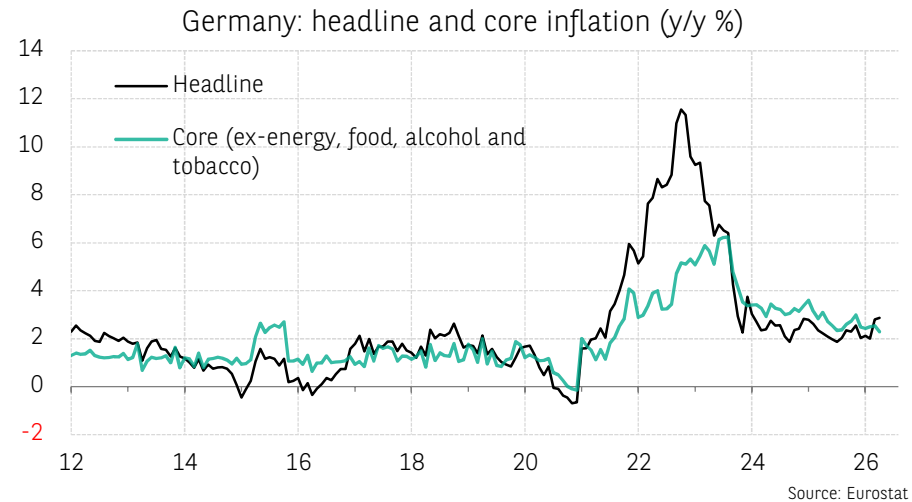
Source: Eurostat



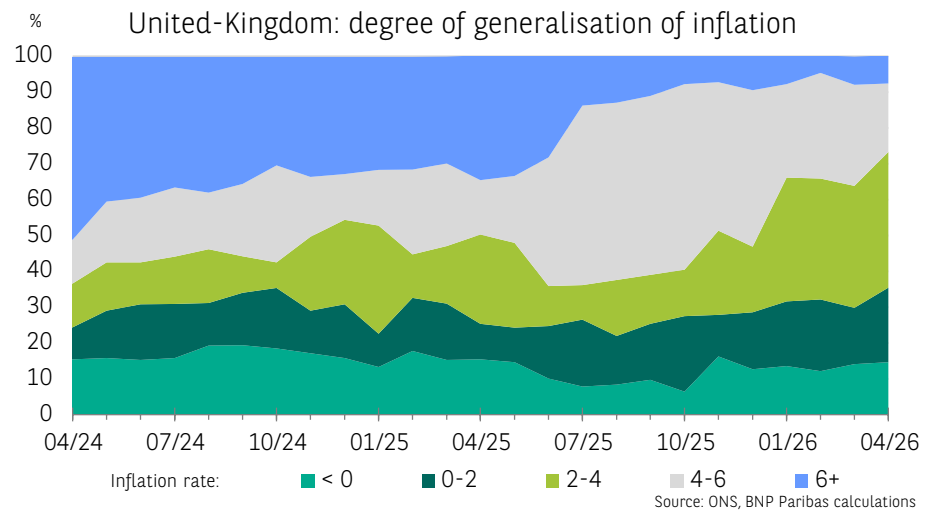
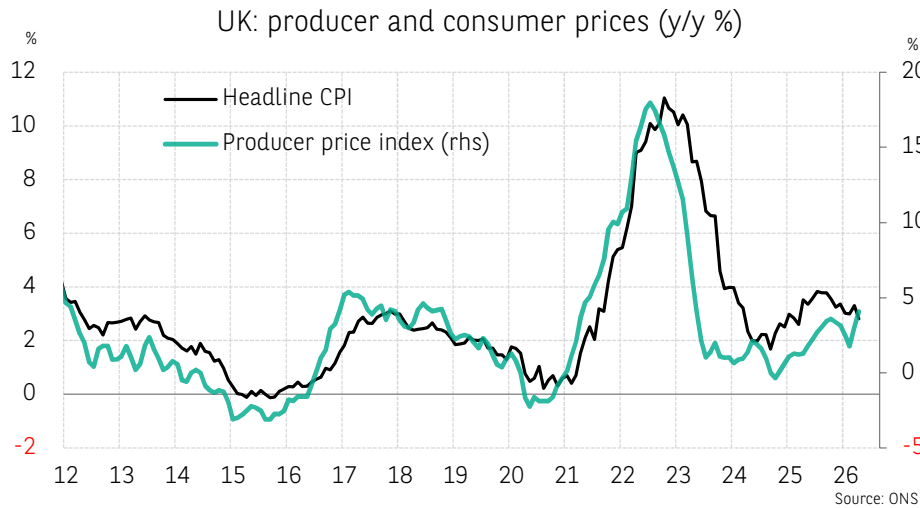
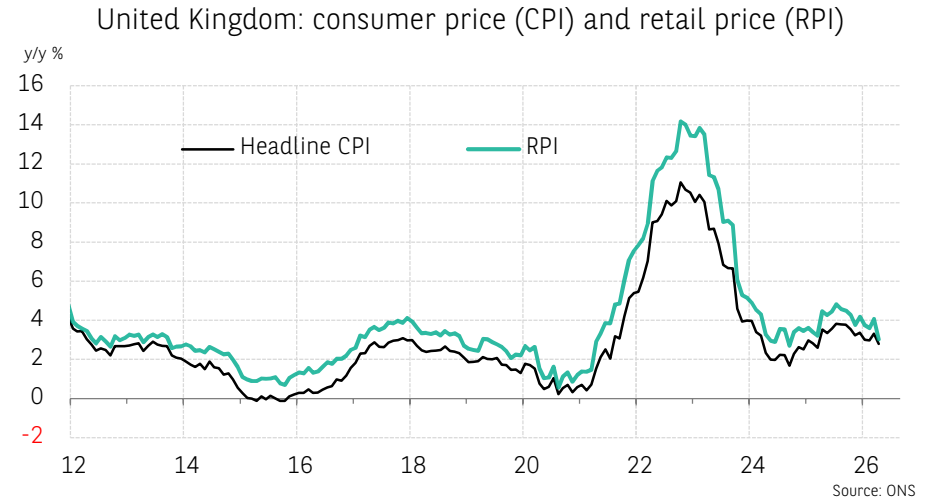
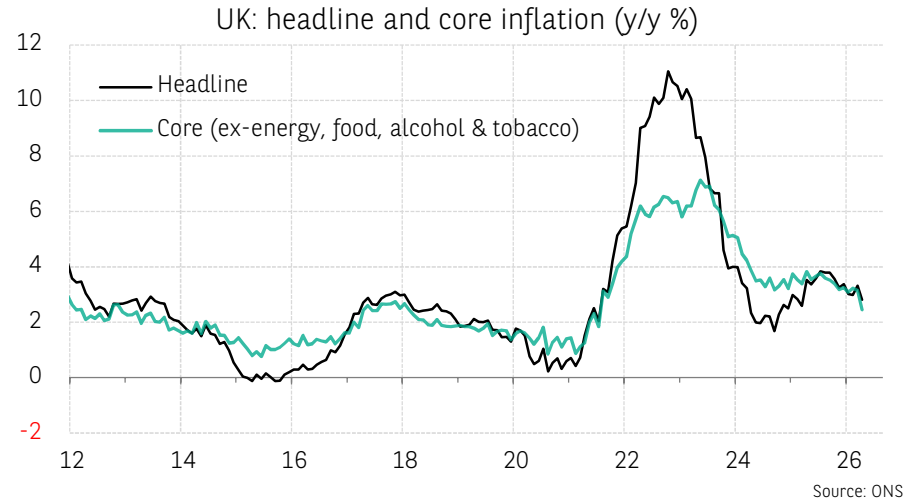
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Inflation dynamics in the Eurozone by country (2)

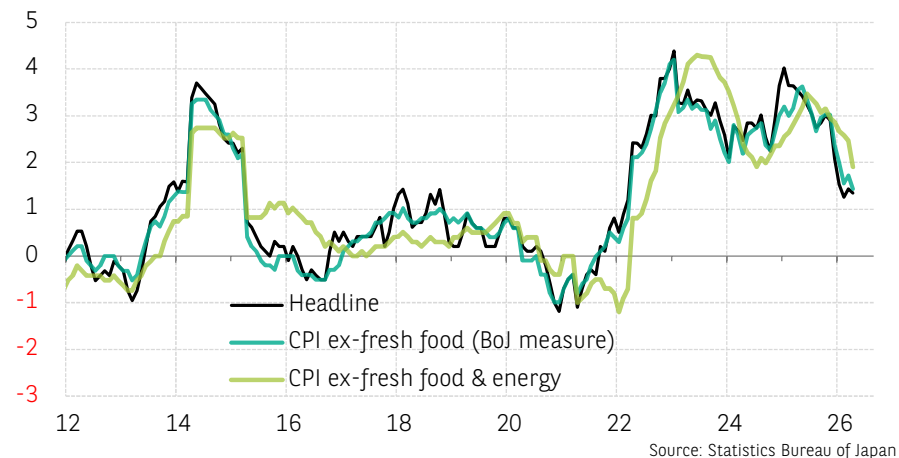


Inflation dynamics in the United Kingdom: different metrics and degree of generalisation

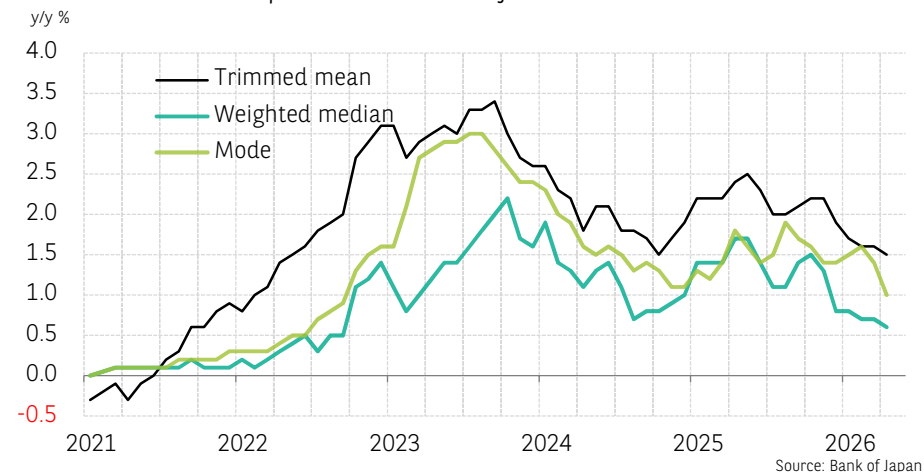


Inflation dynamics in Japan: different metrics and degree of generalisation

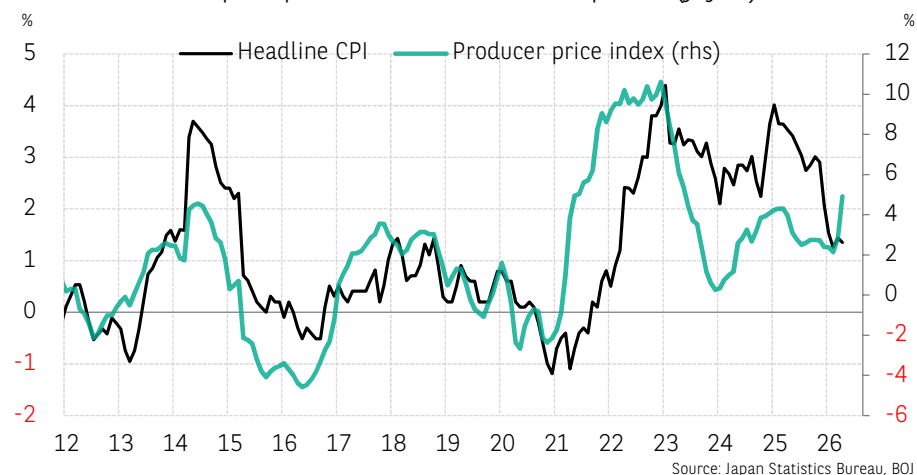
Japan: headline and core inflation (y/y %)



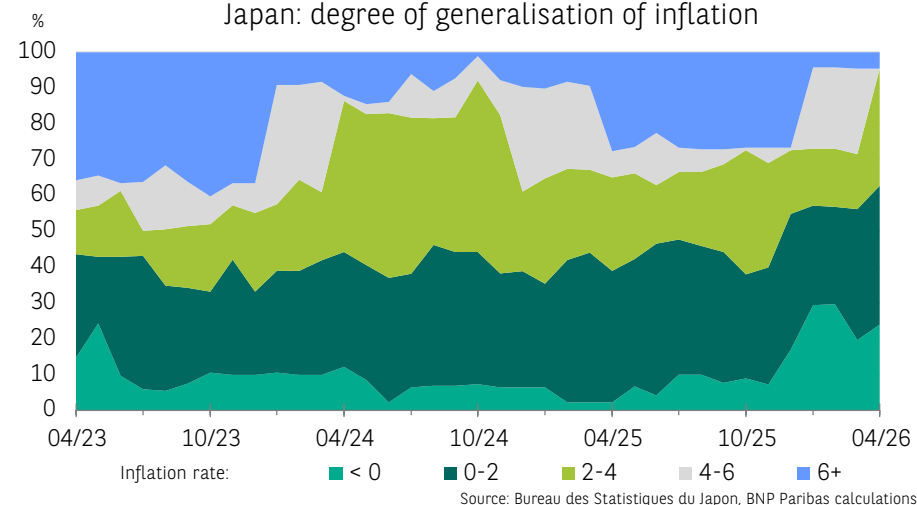
Japan: alternative inflation measures



Japan: producer and consumer prices (y/y %)



Japan: degree of generalisation of inflation

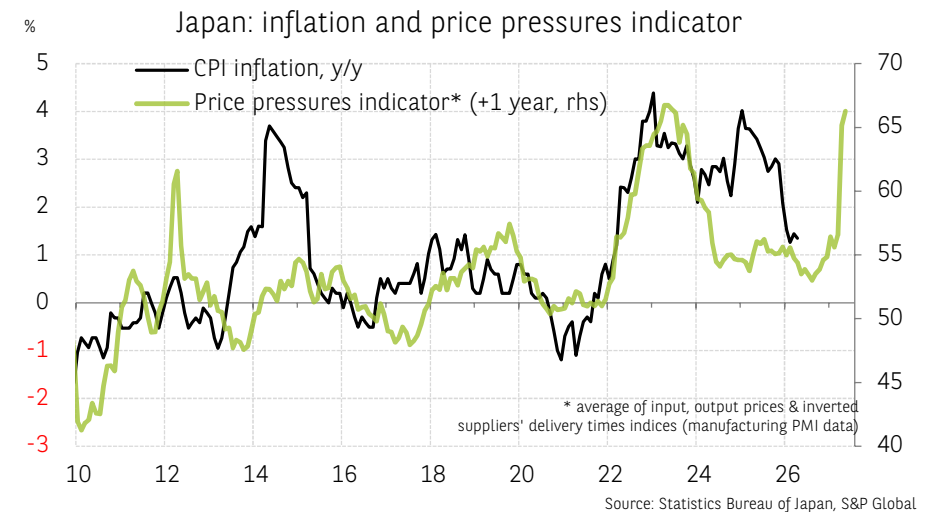
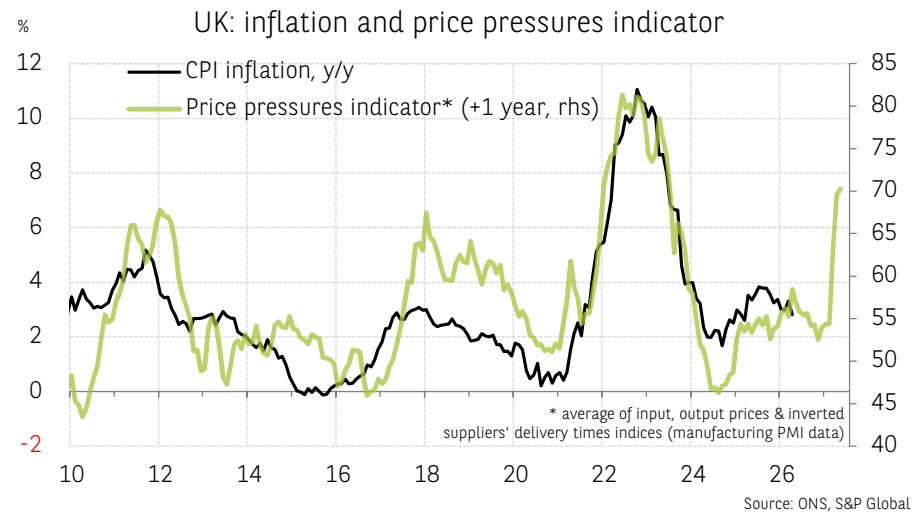
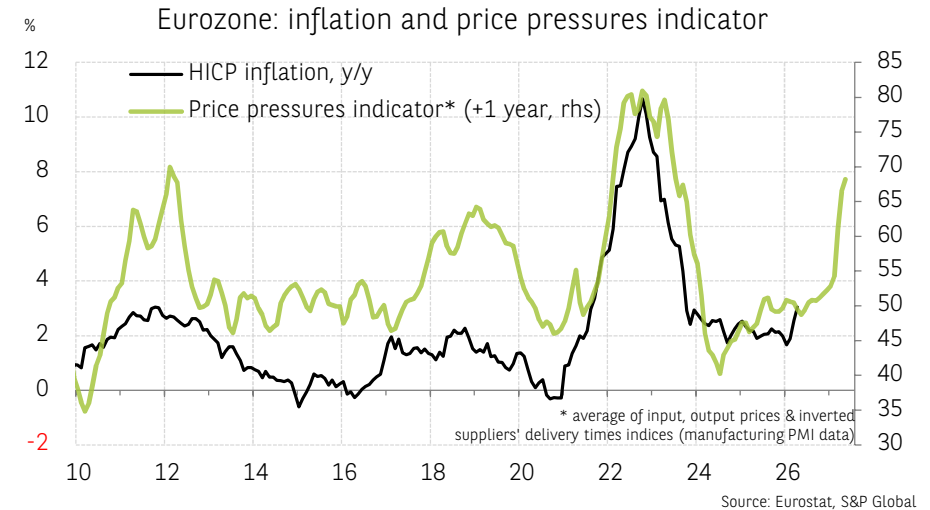
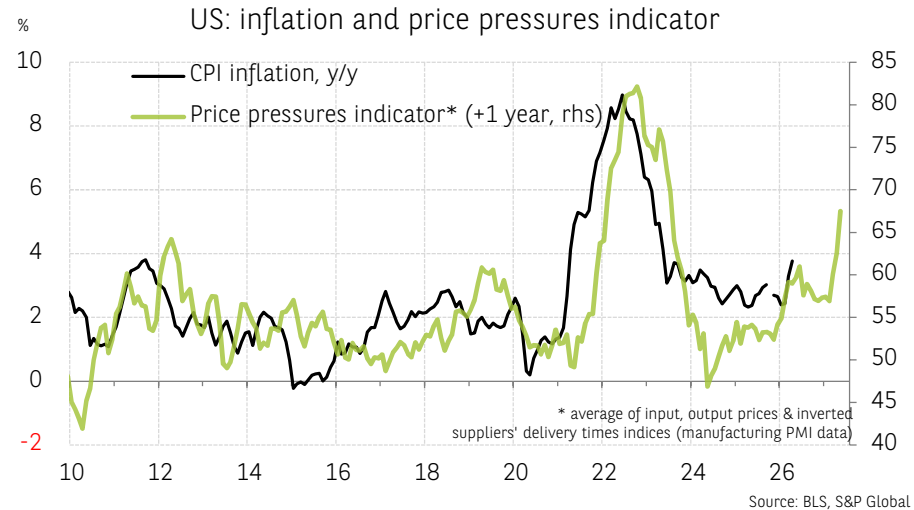


Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.



PMI surveys: an indication of inflationary pressures



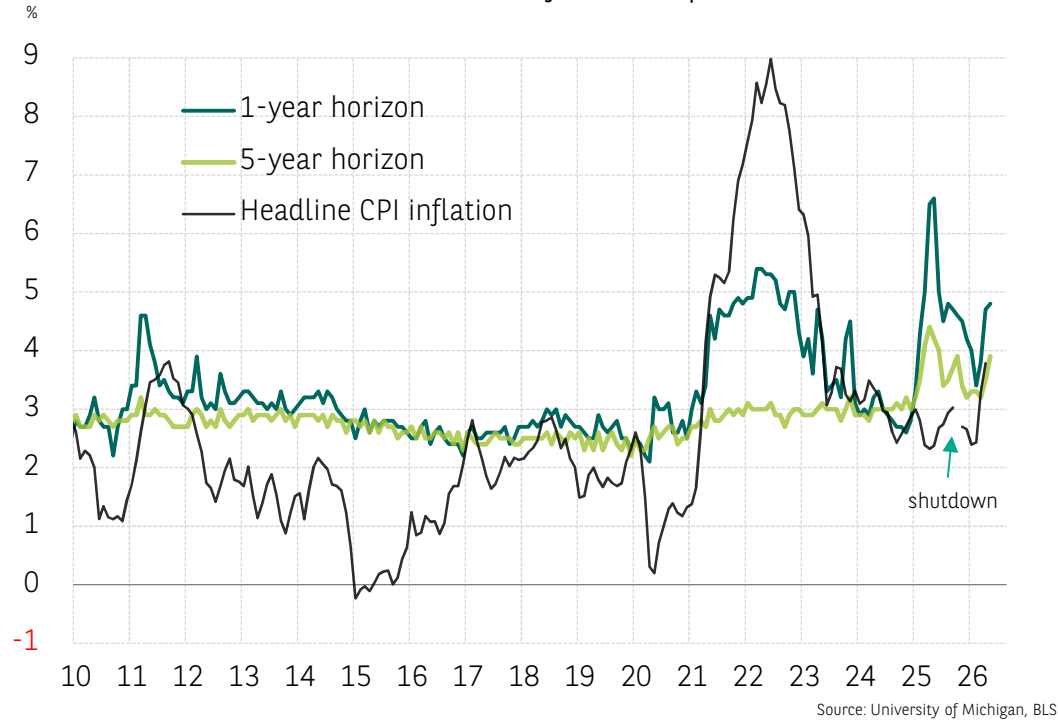
Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

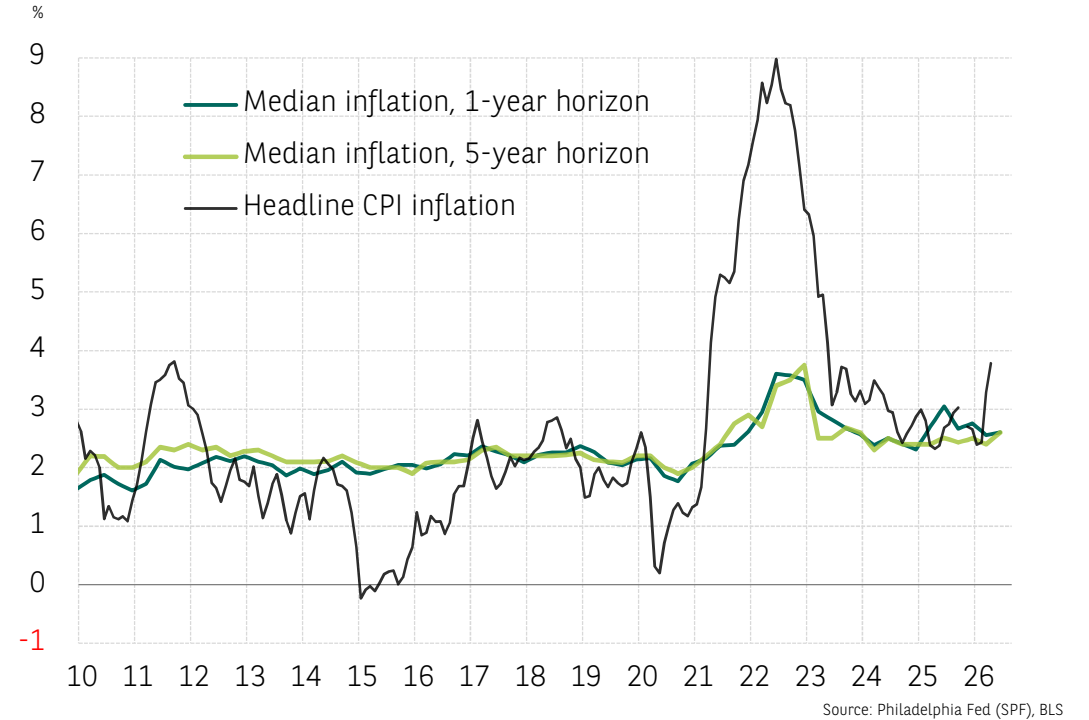


Inflation expectations in the United States

US: consumer inflation expectations

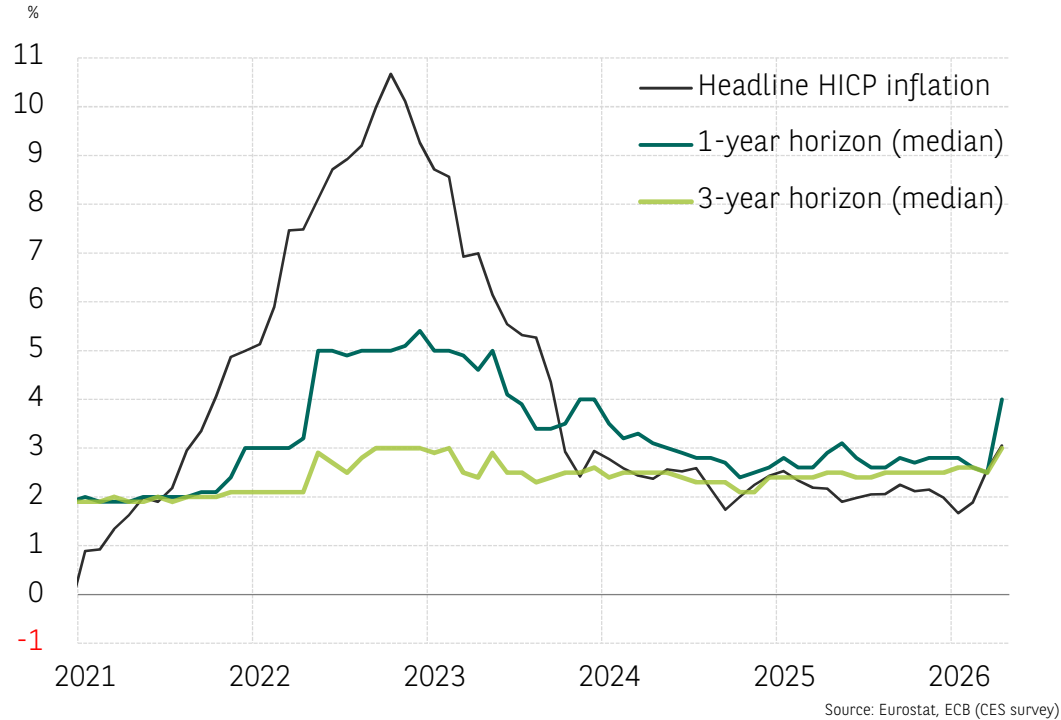


US: Survey of professional forecasters

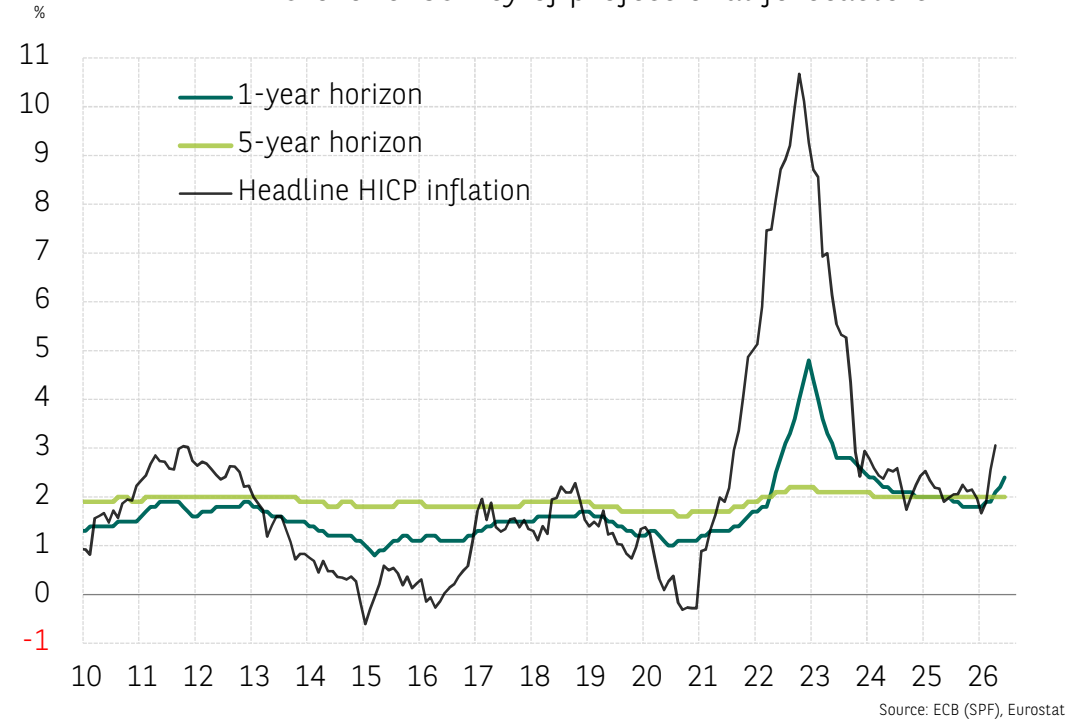


Inflation expectations in the Eurozone

Eurozone: consumer inflation expectations

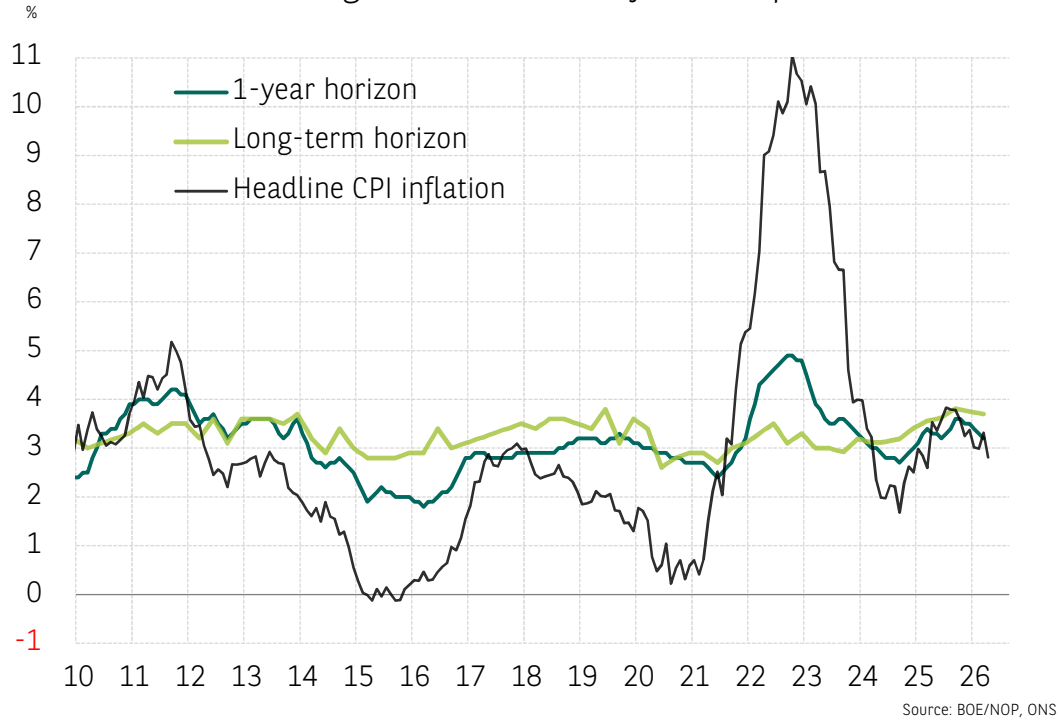


Eurozone: Survey of professional forecasters

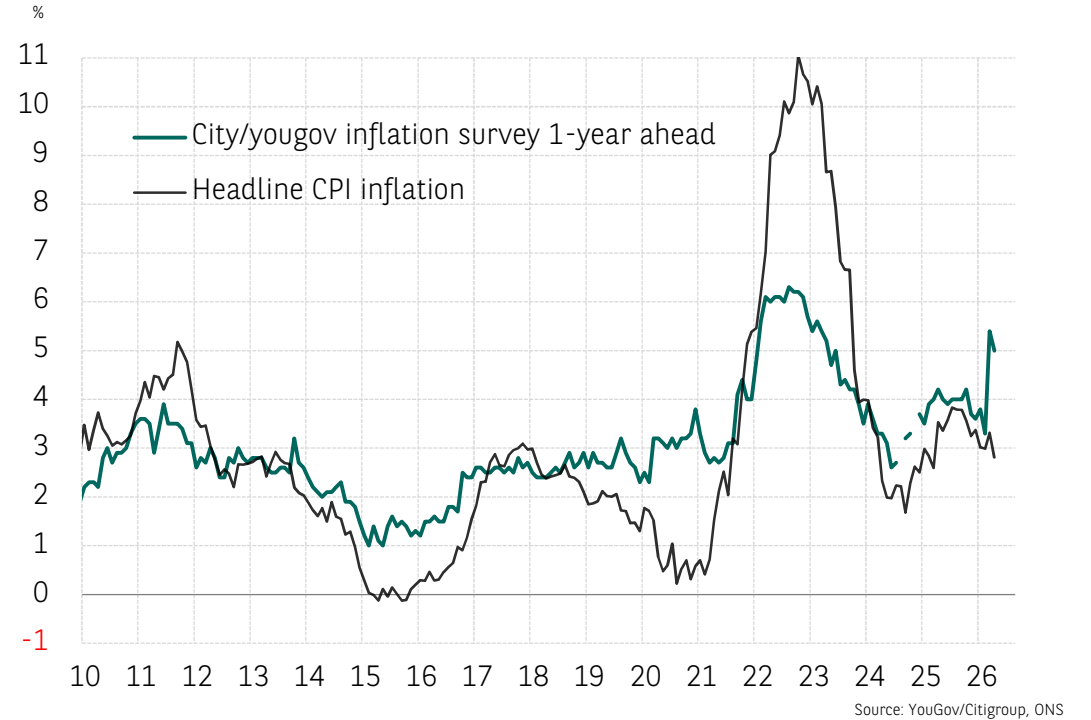


Inflation expectations in the United Kingdom

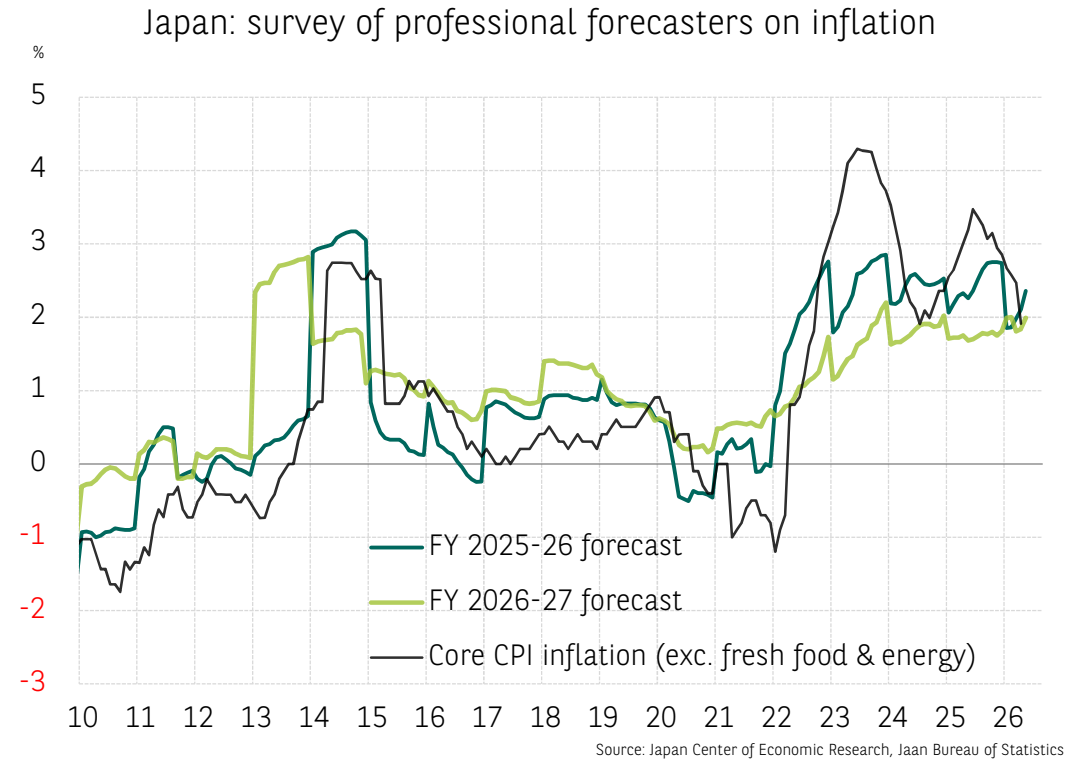
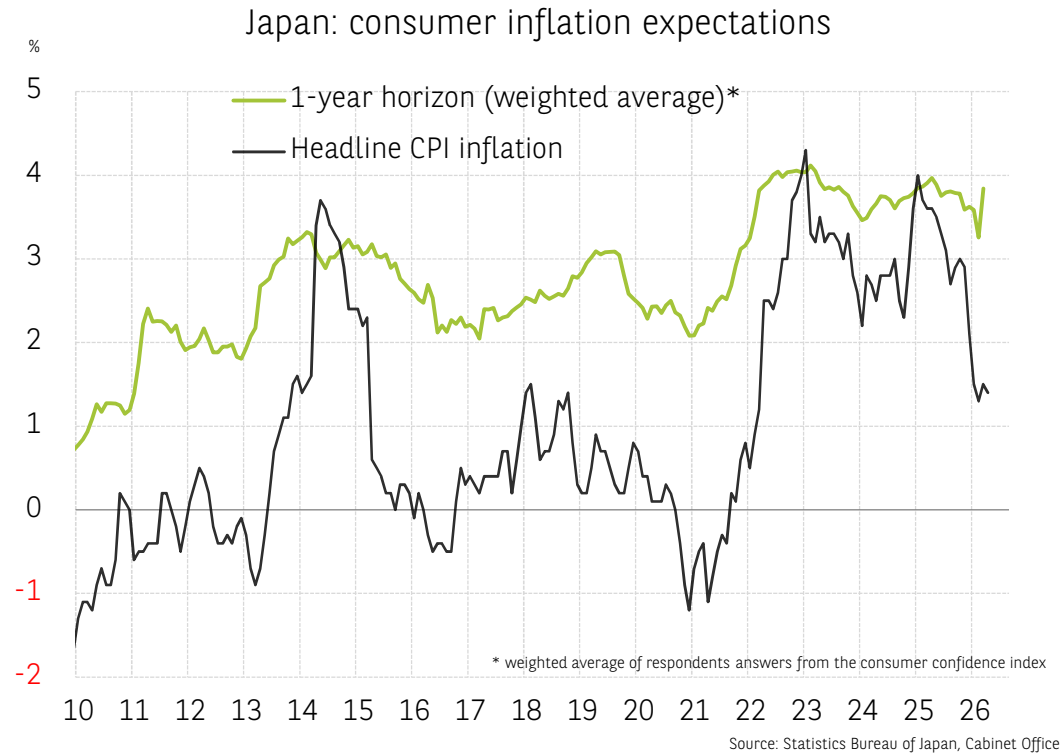
United Kingdom: consumer inflation expectations



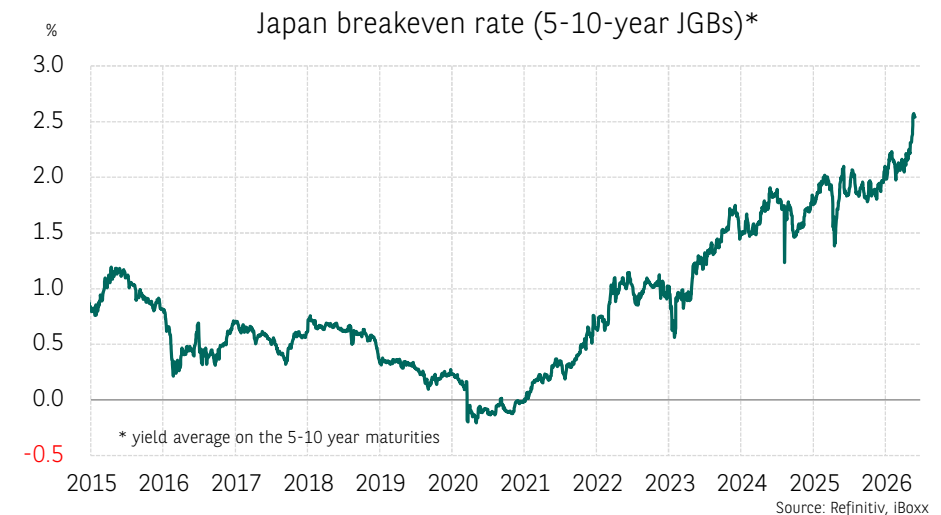
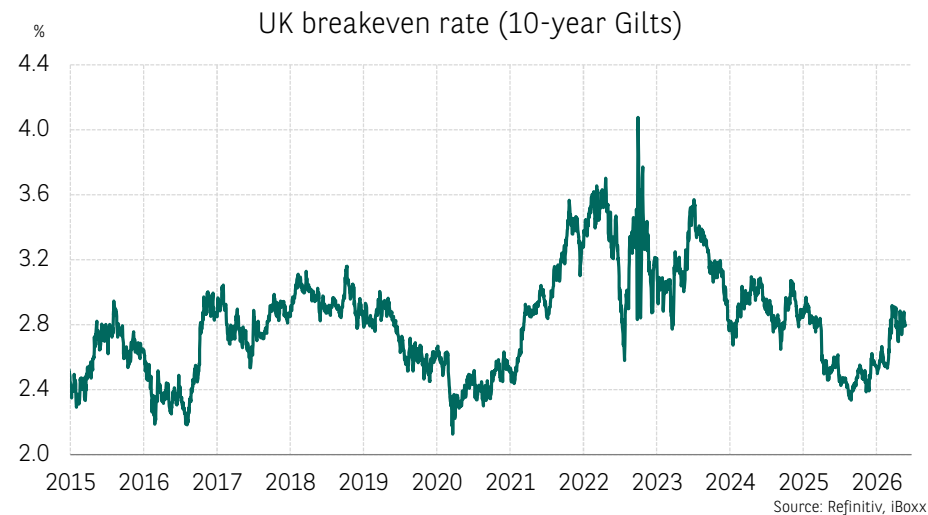
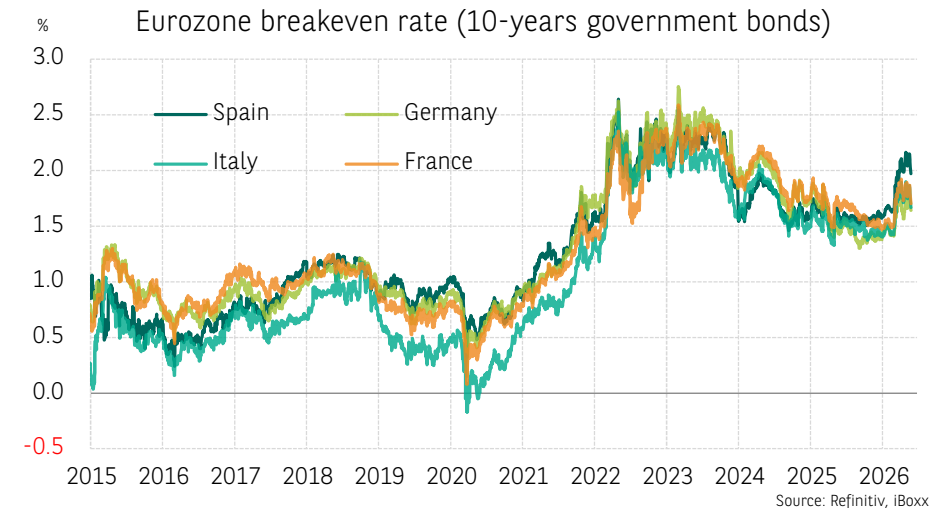
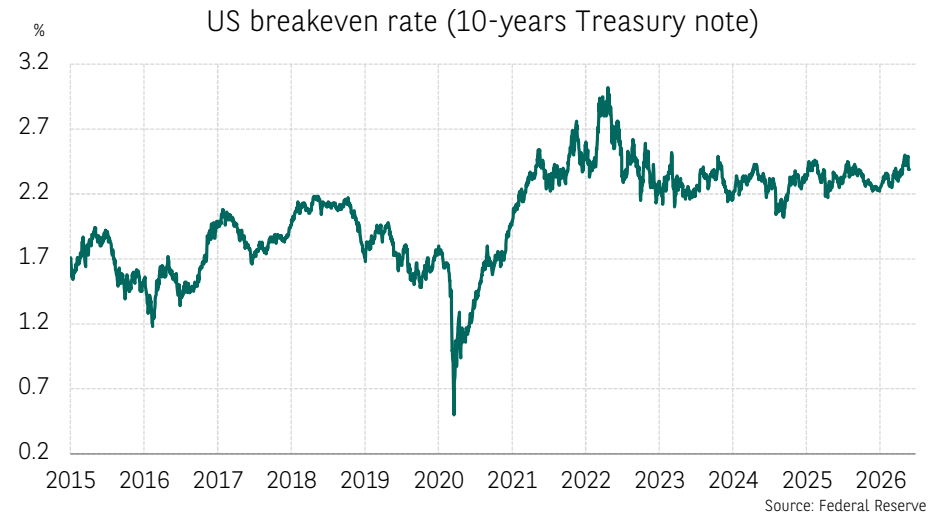
United Kingdom: inflation expectations



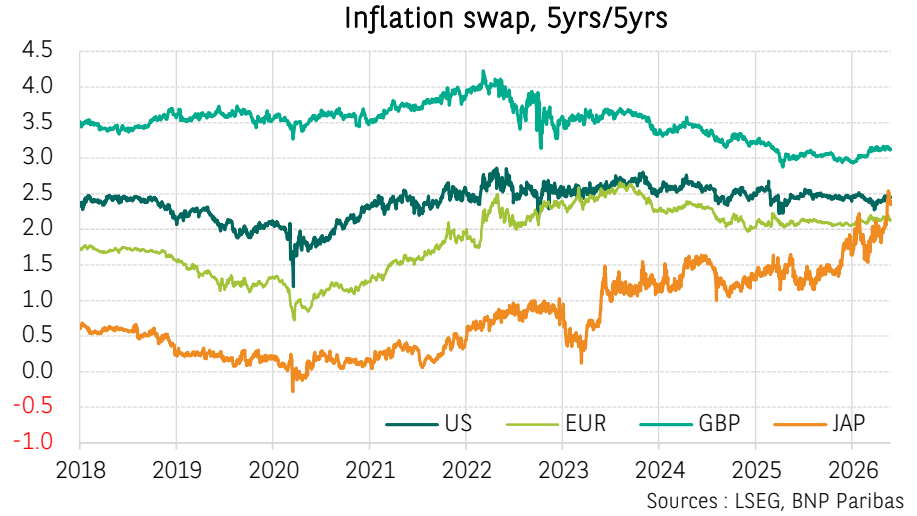
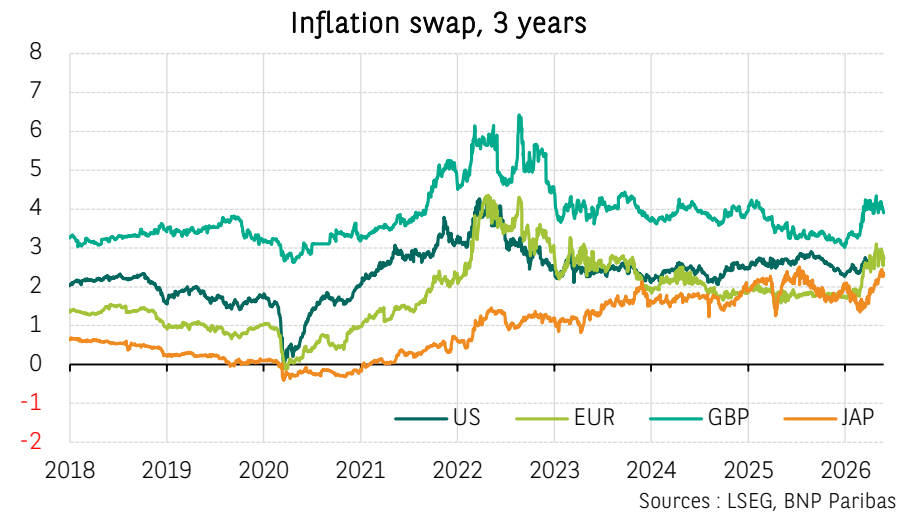
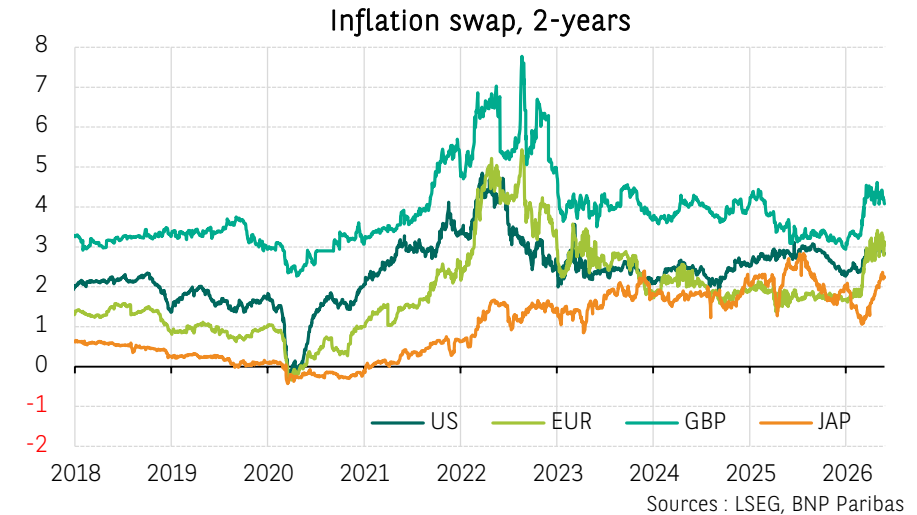
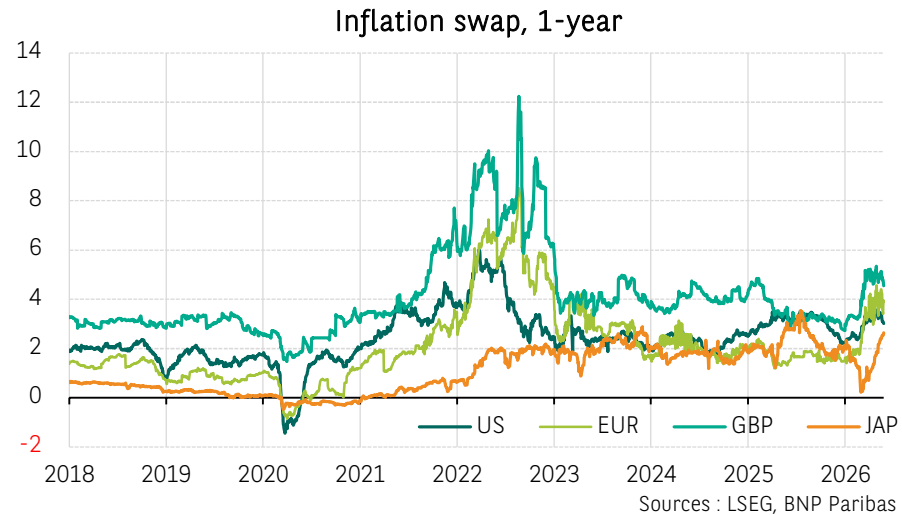
Inflation expectations in Japan



Market expectations: breakeven inflation rate



Market expectations: swap rate



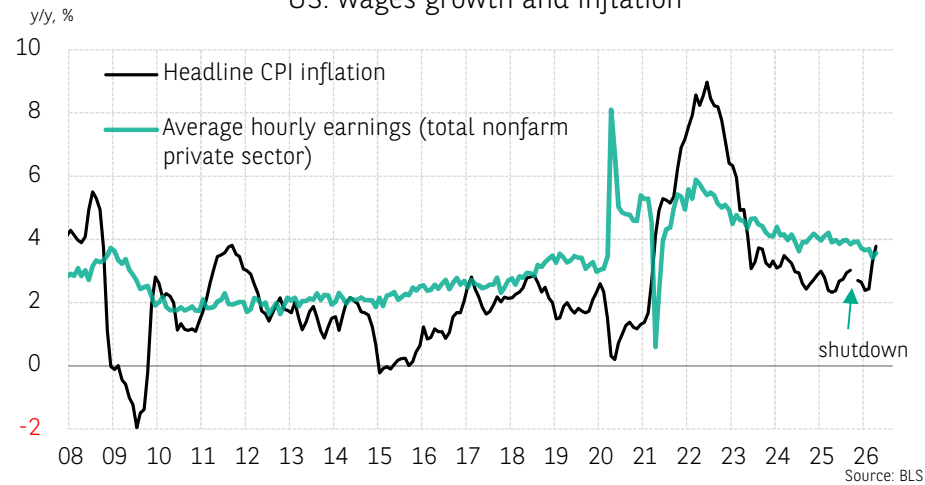
Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

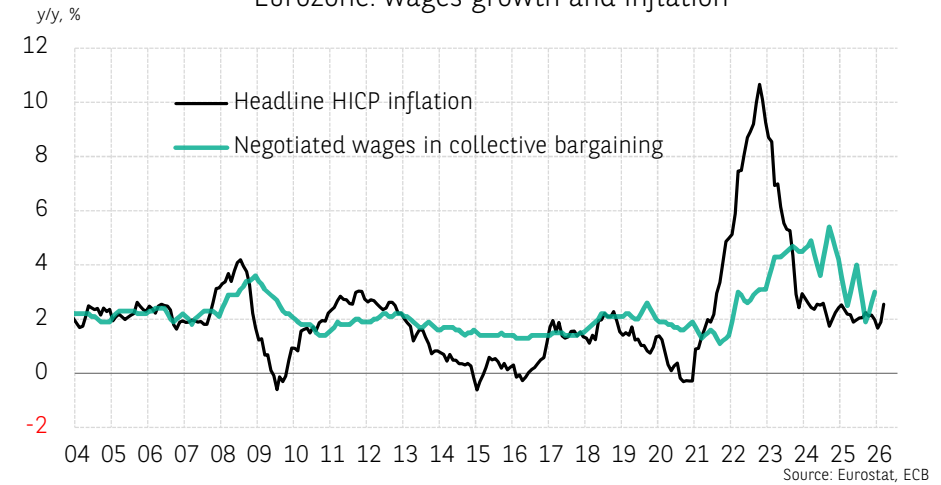


Inflation-wage dynamics

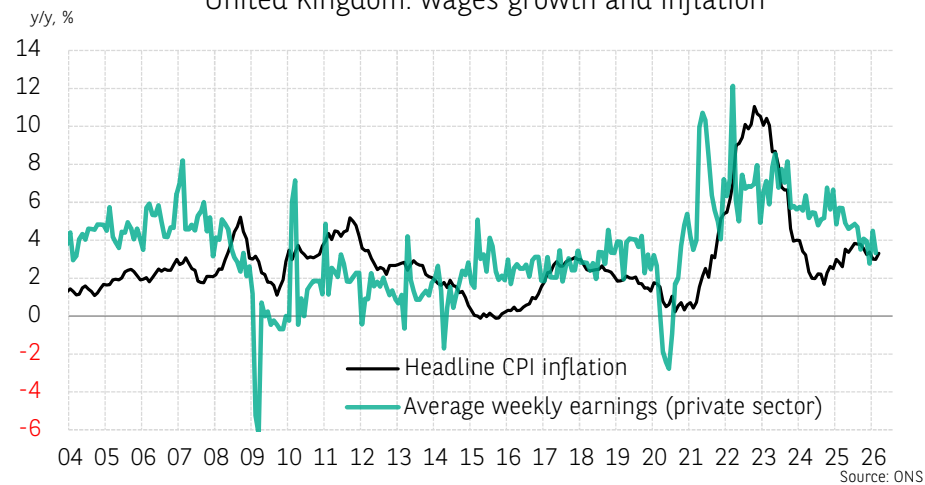
US: wages growth and inflation



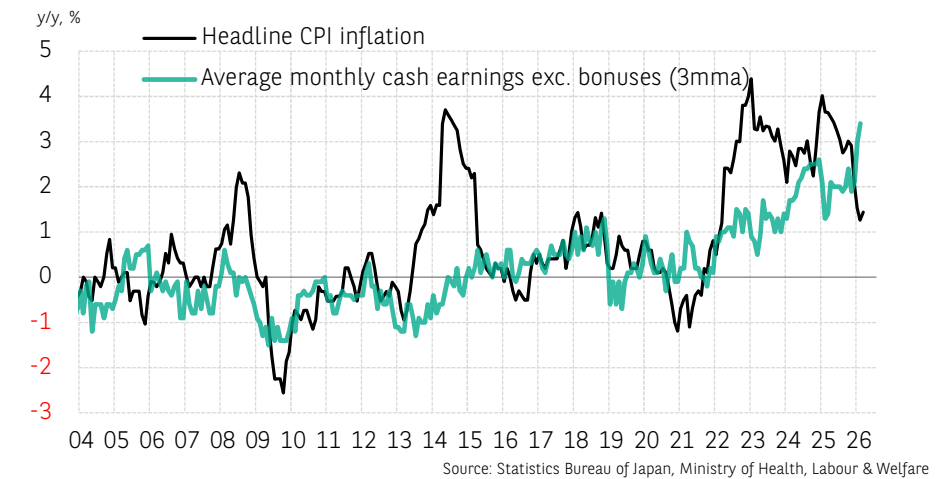
Eurozone: wages growth and inflation



United Kingdom: wages growth and inflation



Japan: wages growth and inflation



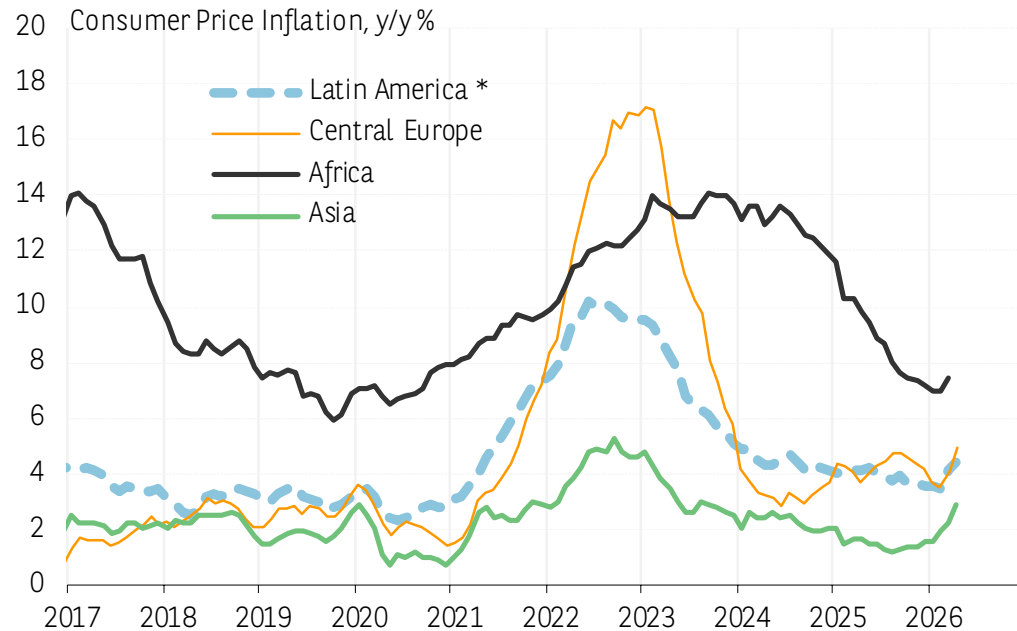
Emerging Economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.



Inflation dynamics in emerging economies: degree of generalisation

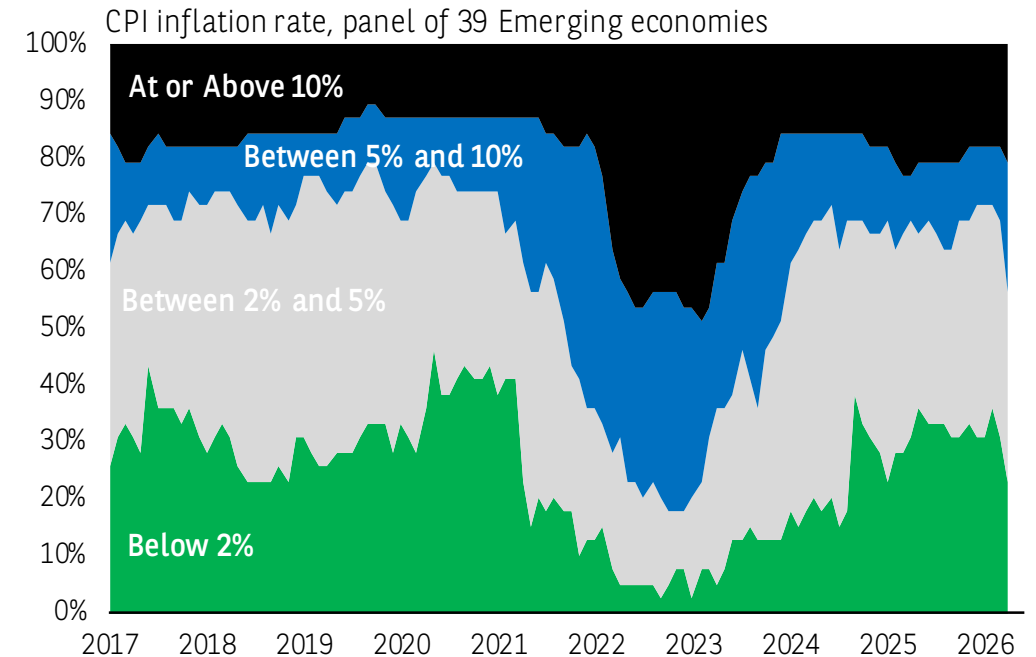
Emerging countries: Average inflation rates by region



Source: Central banks, Macrobond, BNP Paribas

* Latin America: Brazil, Chile, Colombia, Mexico, Peru.
Central Europe: Bulgaria, Croatia, Czech Rep., Hungary, Poland, Romania, Slovakia.
Afrique: Algeria, Angola, Egypt, Kenya, Morocco, Nigeria, South Africa, Tunisia.
Asia: China, Hong Kong, India, Indonesia, Malaysia, Philippines, Singapore, South Korea, Taiwan, Thailand, Vietnam.

Emerging countries: Widespread increase in inflation pressures



Source: Central banks, Macrobond, BNP Paribas

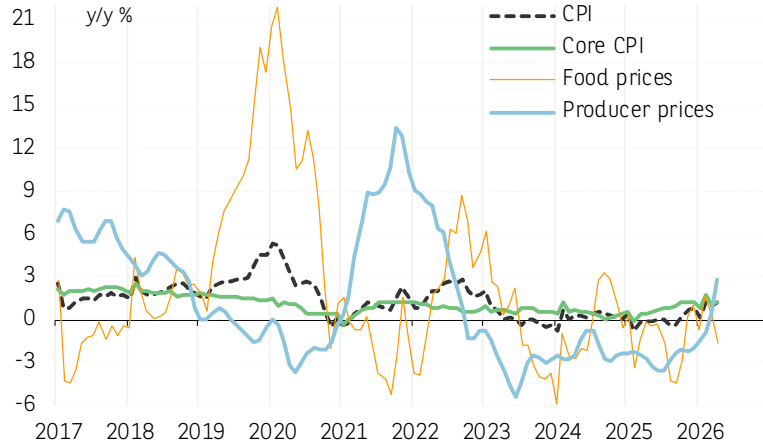


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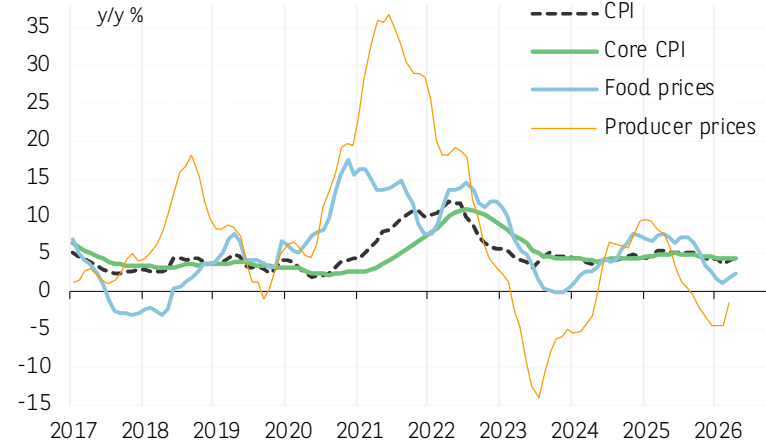
The bank for a changing world

Dynamics and breakdown of inflation in six large emerging economies

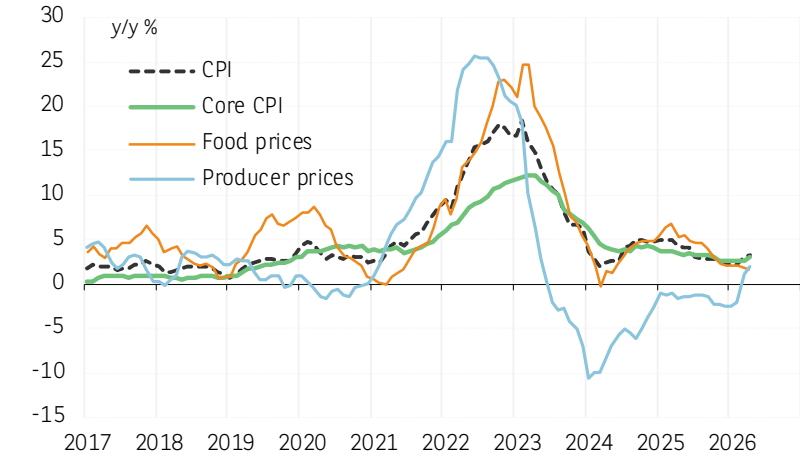
China



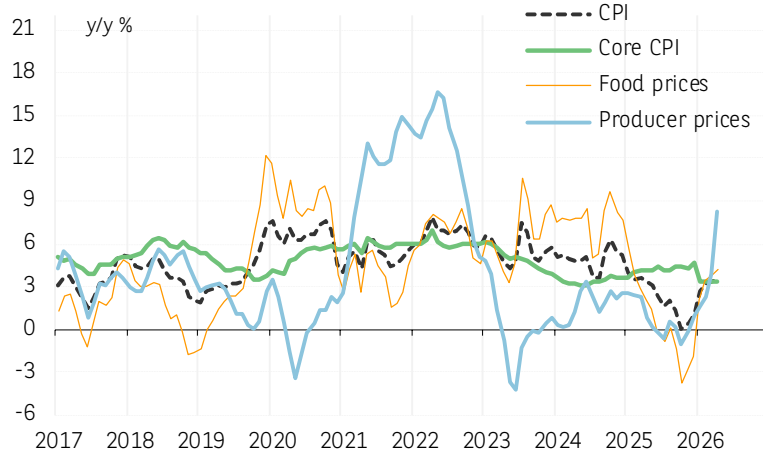
Brazil



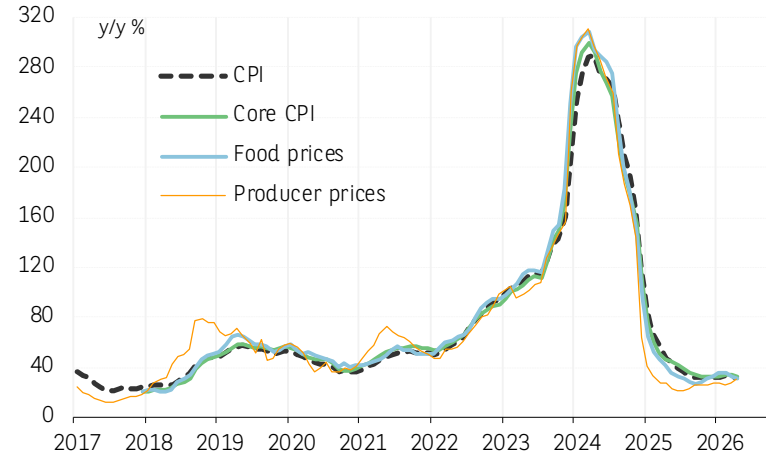
Poland



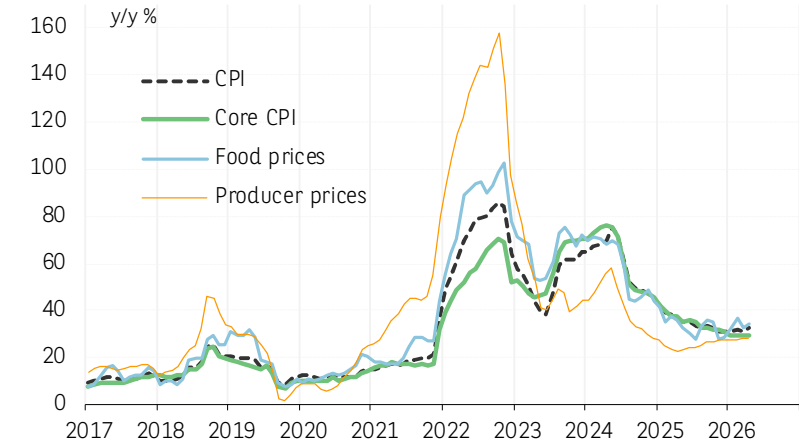
India



Argentina



Türkiye



Source: Central banks, Macrobond, BNP Paribas



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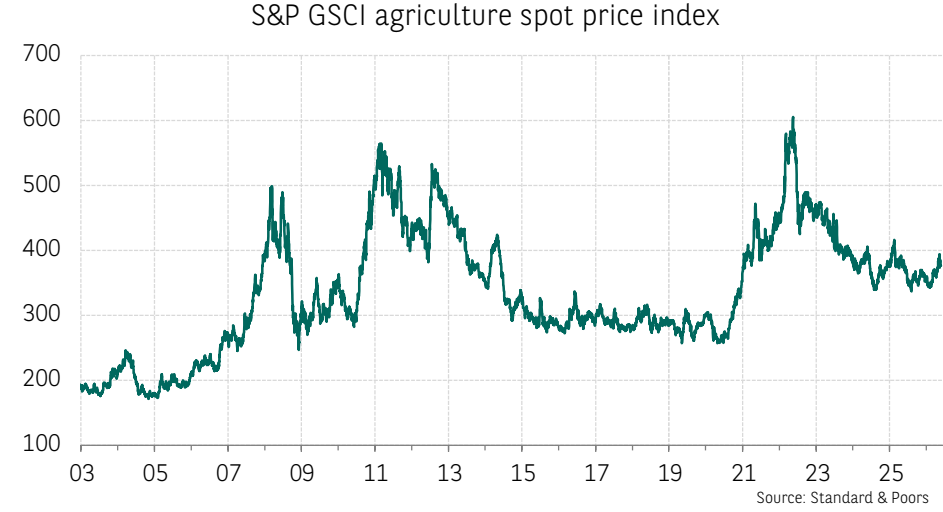
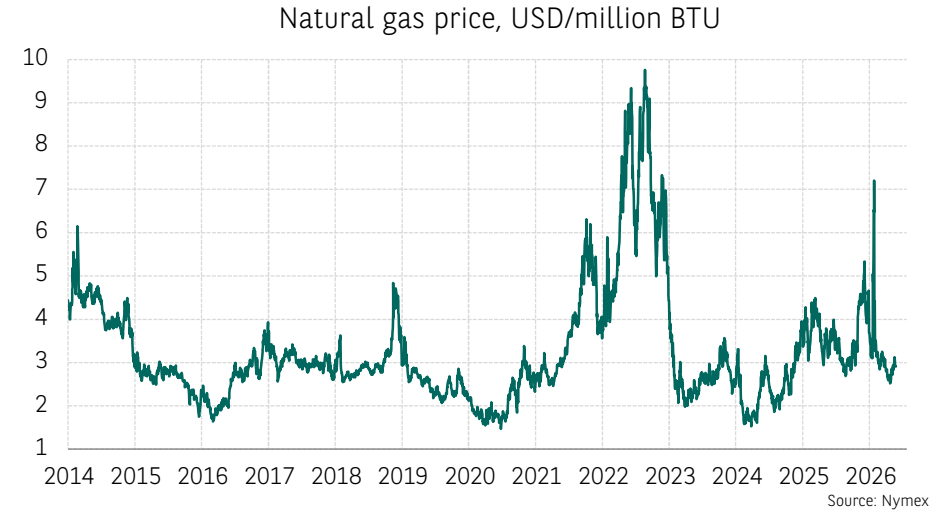
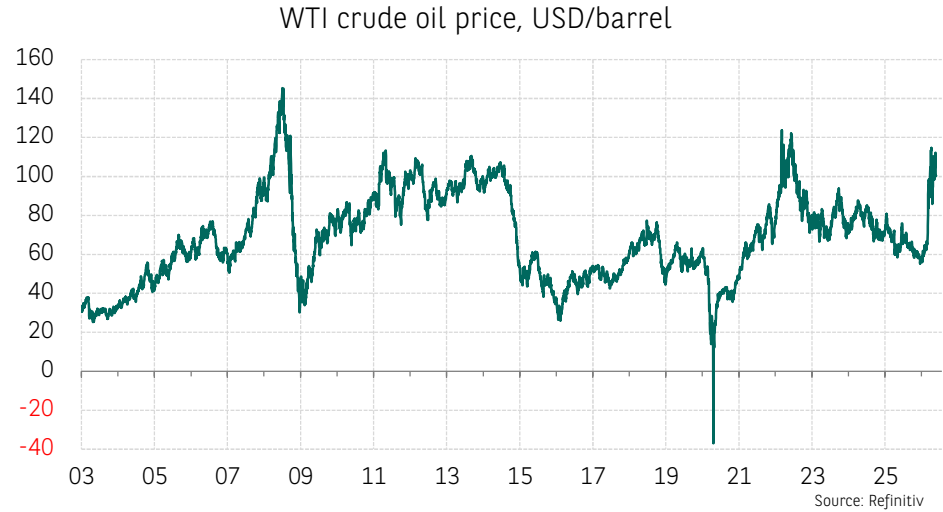
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Commodities:

Commodity prices remain high, but are stabilising.



Commodities



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The bank for a changing world

UNITED STATES: LABOUR PRODUCTIVITY GROWTH SET TO CONTINUE

Anis Bensaidani

The outperformance of US growth is underpinned by productivity gains that are significantly higher than those of the previous decade. This acceleration is due more to the spillover effects of past investments and post-pandemic changes (such as remote working) than to artificial intelligence (AI). The roll-out of AI is too recent for productivity gains to have already made their mark at the macroeconomic level. In the medium term, however, AI is expected to support the upward trend.

Productivity is driving US growth

Since 2022, US growth has proved resilient in the face of a succession of shocks, including inflation, monetary tightening and tariffs. On an annual average basis, growth has consistently outperformed its long-term rate (1.8% according to the Congressional Budget Office [CBO] and the IMF). According to our forecasts, this strength is set to continue in 2026 and 2027 (see [EcoPerspectives United States: Growth and Full Employment tested by Uncertainty](#)), with strong productivity gains being the key driver. Following a temporary surge linked to the pandemic crisis (which is depicted as a “bump” on the chart before correction), hourly labour productivity growth reached an annual average of +2.4% between 2023 and 2025, compared with +1.3% between 2014 and 2019.

The delayed impacts of past investment are fuelling productivity gains

Investment in AI is a powerful driver of current US growth (see [Chart of the Week United States: a “K-Shaped” investment](#)). However, this momentum simply extends a trend from the previous decade, which was already driven by digital sectors. It is therefore likely that the current increase in hourly productivity is primarily the result of past investments. The IMF also notes a concentration of productivity gains in sectors with “the highest investment in intellectual property” (IMF).

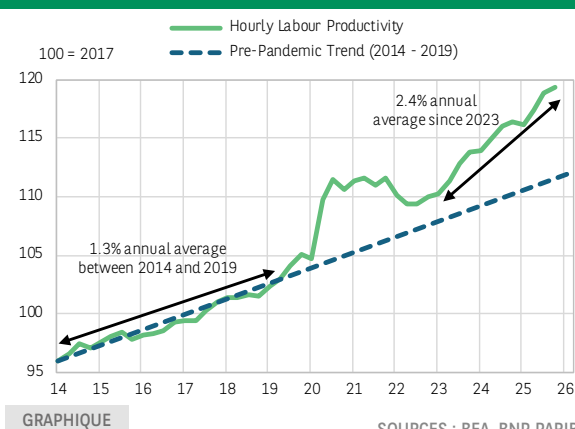
The role of changes in the labour market

Changes in the labour market complete the picture. The first evolution is remote working: according to WFH Research, 27% of paid working days were carried out from home in 2025, compared with an average of 6.2% between 2016 and 2019. However, the Bureau of Labor Statistics (BLS) identifies a positive correlation between the adoption of remote working and productivity growth ([Beyond the Numbers, 2024](#)), which is linked to the aforementioned investment in digital technology. Indeed, Maria D. Tito ([FEDS Notes, 2025](#)) sees a link between the ‘ability to work remotely’ and ‘technological trends’ that have improved the remote working experience. Two further developments in the labour market are considered to be conducive to productivity: a marked increase in business start-ups and higher worker turnover’ ([IMF Working Paper, 2024](#)).

Will AI sustain this trend in the long term?

Expectations of future productivity gains driven by AI underpin the current investment cycle. US institutions are showing a moderate level of optimism regarding the degree of support AI is expected to provide. The Fed has raised its median projection for long-term GDP growth to 2.0% in Q1 2026 (+0.2 percentage points, the highest increase since 2016). As for the CBO, it considers the adoption of generative AI to be a ‘modest’ contributor to productivity and growth in its 10-year outlook ([CBO, 2026](#)). These estimates focus primarily on the impact of AI on growth through the ‘supply’ channel and productivity gains. Additionally, we must consider the ‘demand’ channel already at work through current business investments and household consumption expenditure which are supporting growth.

United States: sharp acceleration in productivity compared with the pre-Covid period



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